

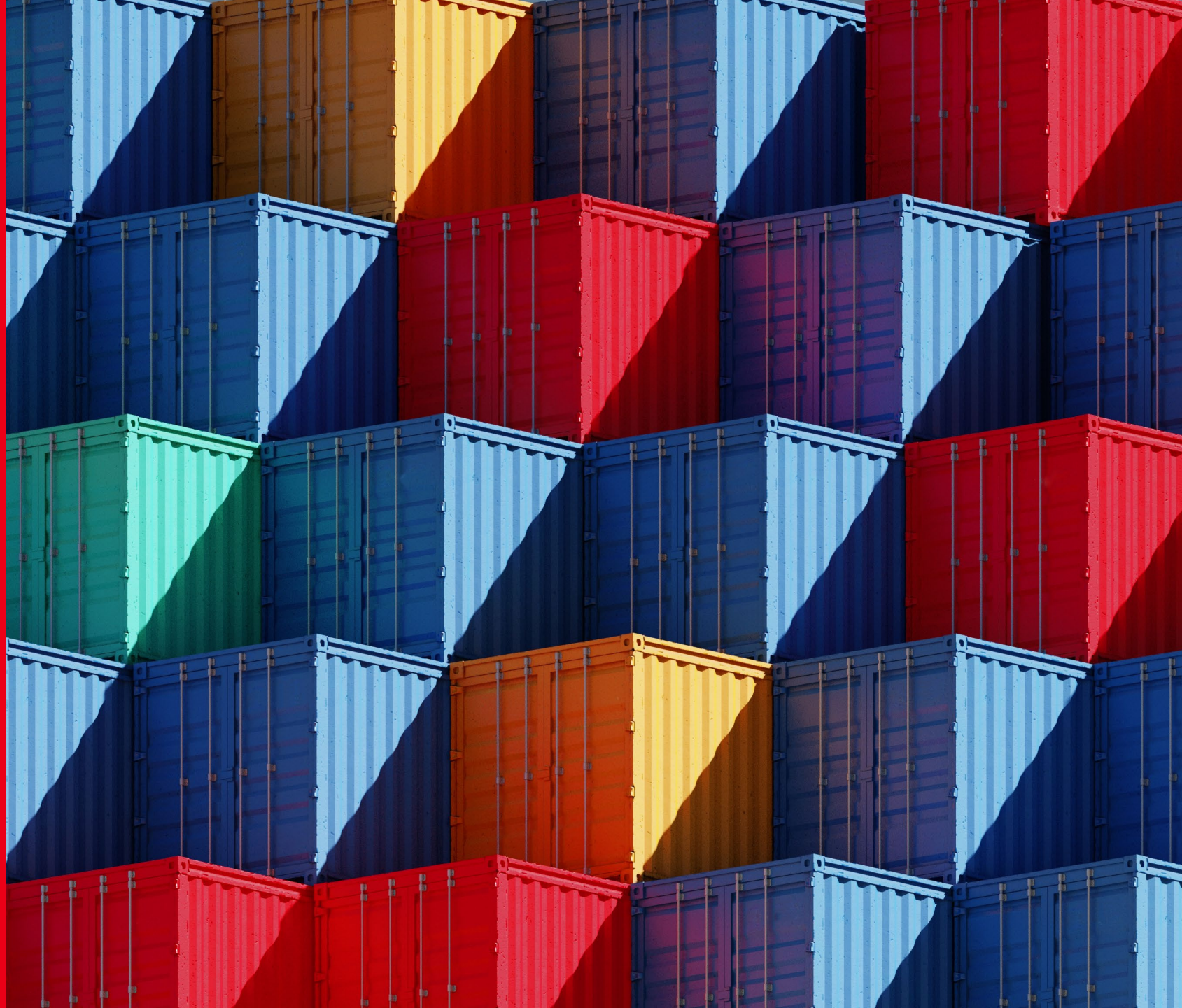


U.S. Tariffs

Potential Loss Cost Impact for U.S. P&C Insurance

August 12, 2025

Proprietary



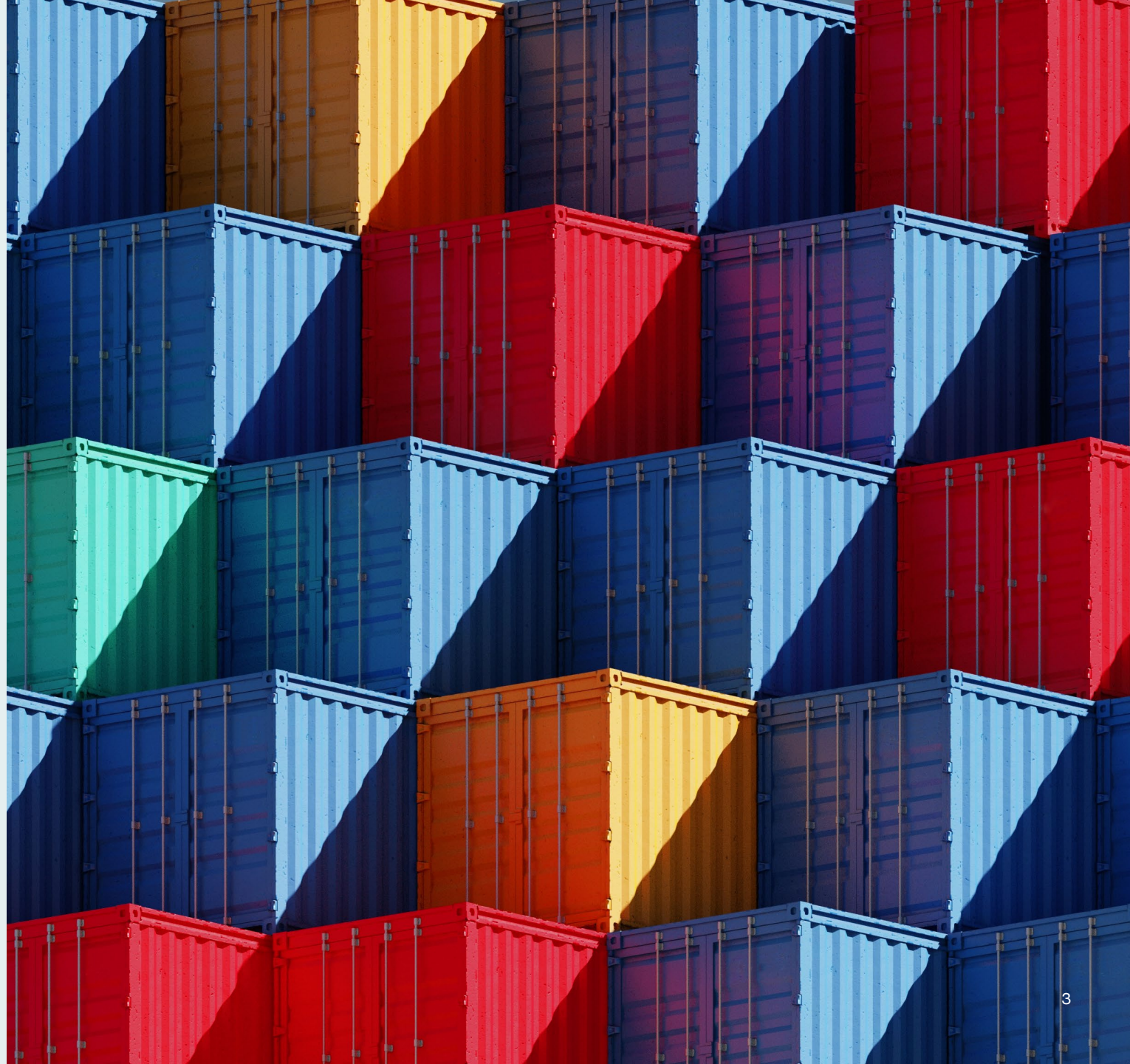
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News Update Since July 15

AON



Higher country specific tariffs resumed August 7th

Presidential Actions signed July 30th through August 11th

Copper

[Proclamation 10962](#): 50% on certain copper items.

Brazil

[Executive Order 14323](#): additional 40% due to the cited political persecution of former President Bolsonaro.

Reciprocal Tariffs

[Executive Order 14326](#): Japan & South Korea 15%; European Union +15%; Vietnam & Taiwan 20%, India 25%, UK 10%; 15% or higher for listed countries; 10% otherwise. China not affected.

Canada

[Executive Order 14327](#): now at 35% due to Canada's failure to address flow of illicit drugs across the border.

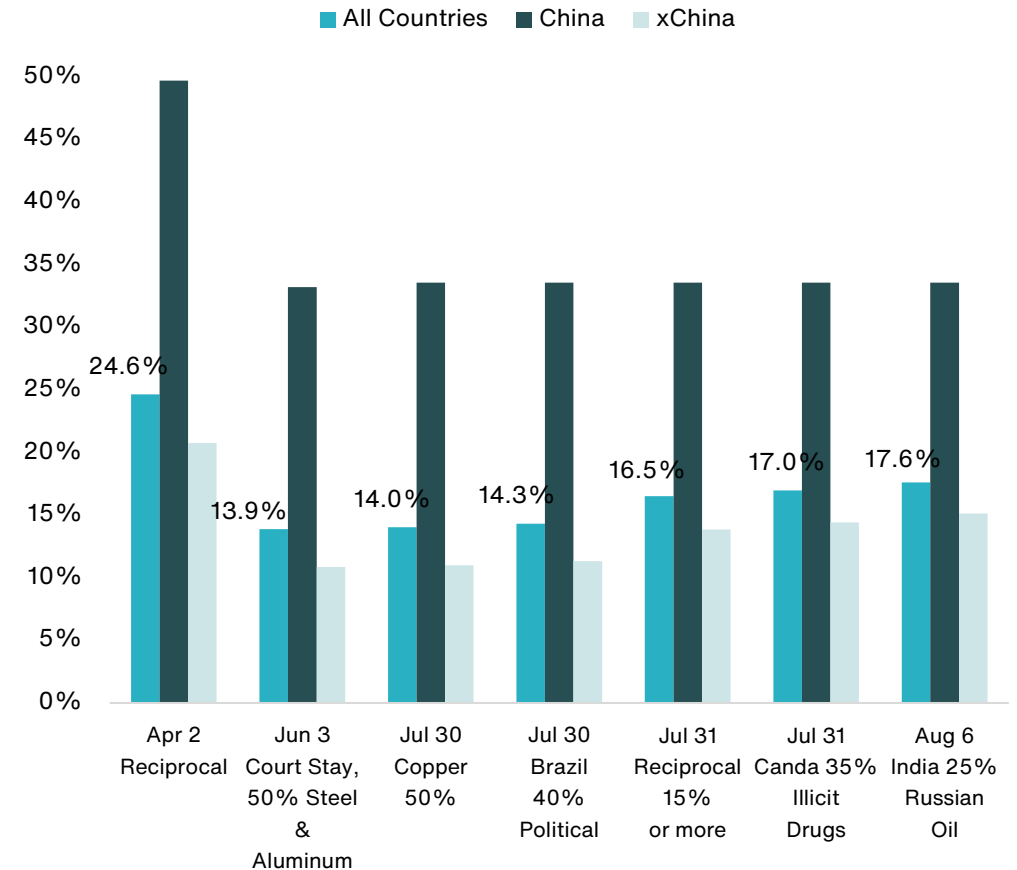
India

[Executive Order 14329](#): additional 25% due to India's purchase of Russian oil. Exempt if already covered by an S232 tariff.

China

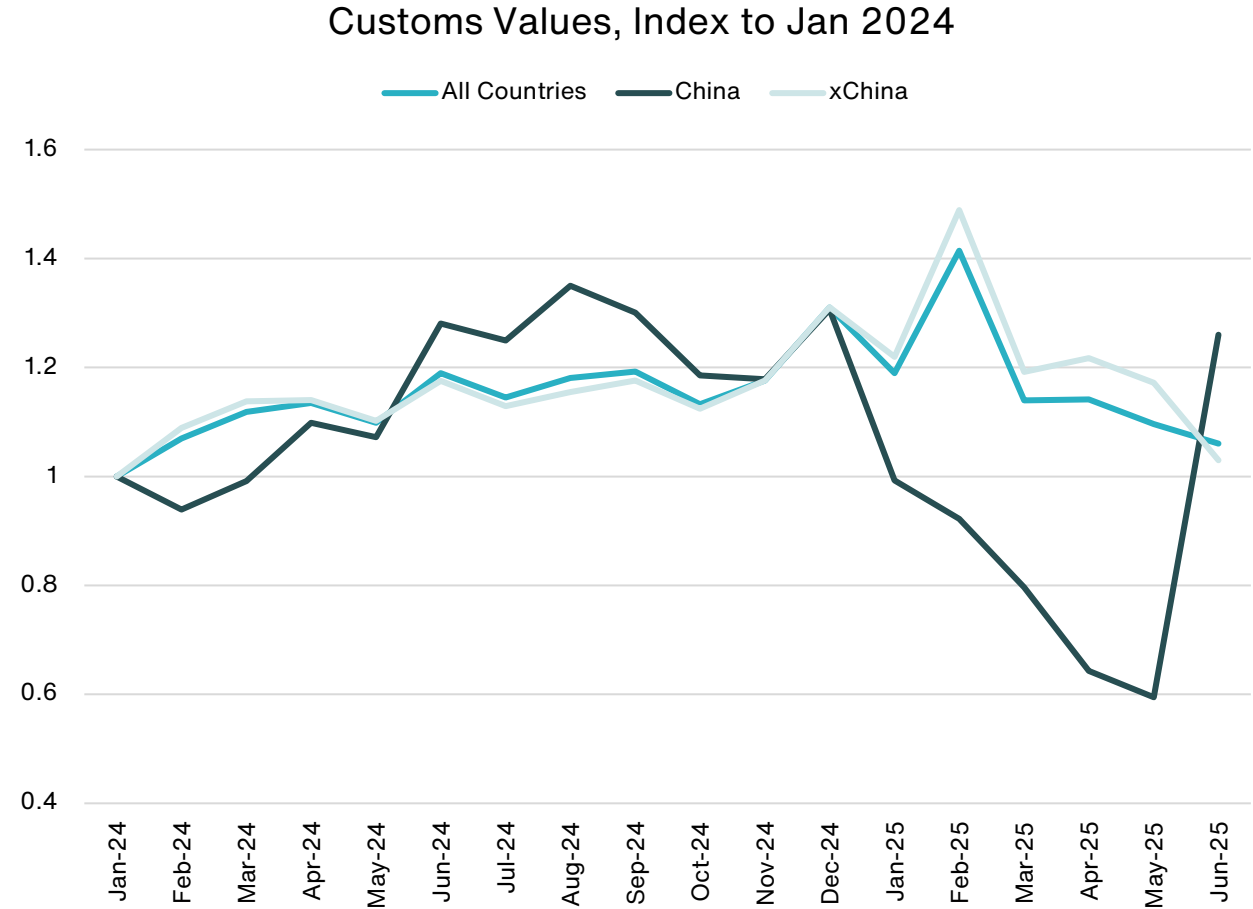
[Executive Order 14334](#): higher reciprocal tariffs paused 90 more days, still +30%

Average Incremental Tariff, with Exemptions



Imports from China had fallen 50% since January, but spiked in June

Overall imports are up, suggesting that US companies are shifting supply chains



2025 YTD is higher than 2024 or 2023, but that is driven by a surge in imports in Q1

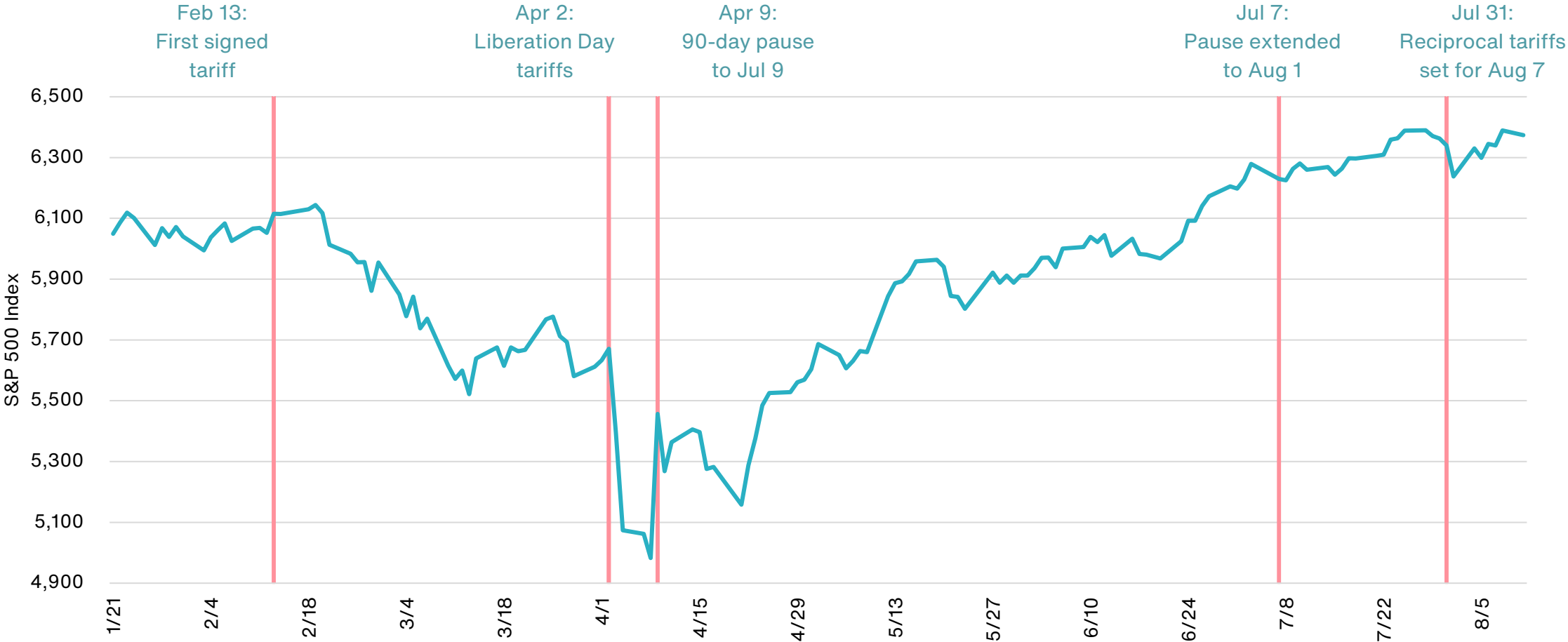
2025 Q1 is 26% higher than 2024 Q1 and 27% higher than 2023 Q1

US Imports - Average Monthly Customs Value (\$b)

Country	Full Year		YTD: Jan - Jun	
	2023	2024	2024	2025
European Union	48.0	50.5	49.2	58.2
Mexico	39.4	42.1	41.5	44.1
China	35.6	36.6	33.1	27.9
Canada	34.8	34.3	34.2	33.0
Japan	12.3	12.4	12.2	12.5
Vietnam	9.5	11.4	10.3	14.7
Korea, South	9.7	11.0	11.3	10.8
Taiwan	7.3	9.7	8.5	13.7
India	7.0	7.3	7.4	9.4
United Kingdom	5.3	5.7	5.5	5.6
All Other	47.4	51.4	48.1	64.6
World Total	256.4	272.2	261.2	294.4
xChina	220.8	235.6	228.1	266.5

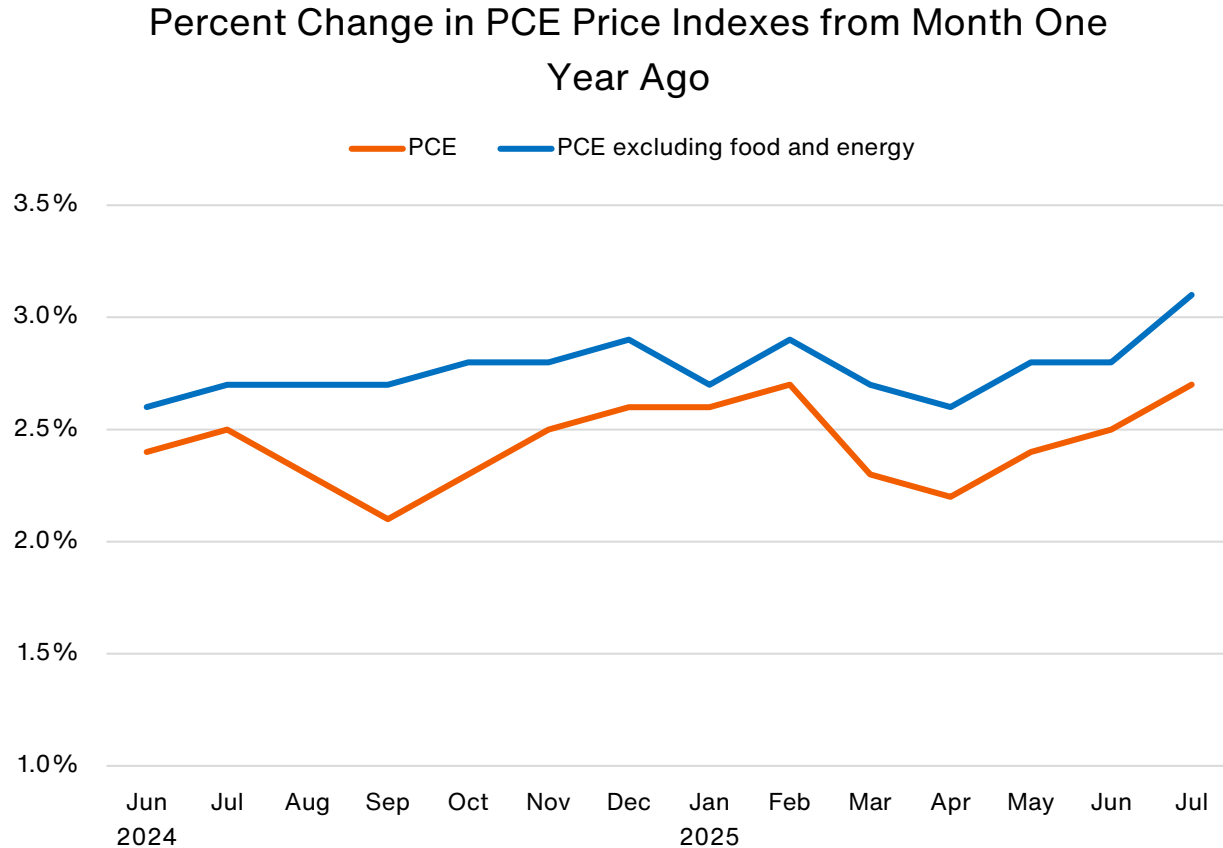
After initial shock, equity markets seem to have adjusted to tariffs

Inflation, jobs, and unemployment have not soured for now



How have prices fared since tariffs announced?

Inflation started to decrease in February, but has risen steadily since April



Why have prices not spiked?

Uncertainty in the pass-through rate

June 18: The Fed notes that cost of tariffs will ultimately be paid by someone in the supply chain, whether it be the manufacturer, exporter, importer, retailer, or consumer.

The process of how tariffs pass through to consumer price inflation is uncertain, and the Fed emphasizes the need to see actual data before making definitive judgments.

Prices will reflect tariff levels as a cost element but consumer demand, money supply and other economic factors also affect prices.

June 18 & July 30: Fed holds interest rates flat at 4.25 to 4.50%

Forecasts for inflation have risen from 2.5% in December 2024 to 3.1% in June 2025, largely due to the effects of tariffs.

Compared to March projections for 2025, unemployment projection up 0.1% and GDP down 0.3%.

Tariff revenue tops \$100b for the first time in a fiscal year

This cost is currently covered by importers but some part will pass through to consumers & investors

These tariffs have been paid by U.S. importers – Treasury Secretary Scott Bessent [Aug 7](#)

Federal revenue from tariffs has surged since April 2025

Pre-2018: \$2.5b monthly average

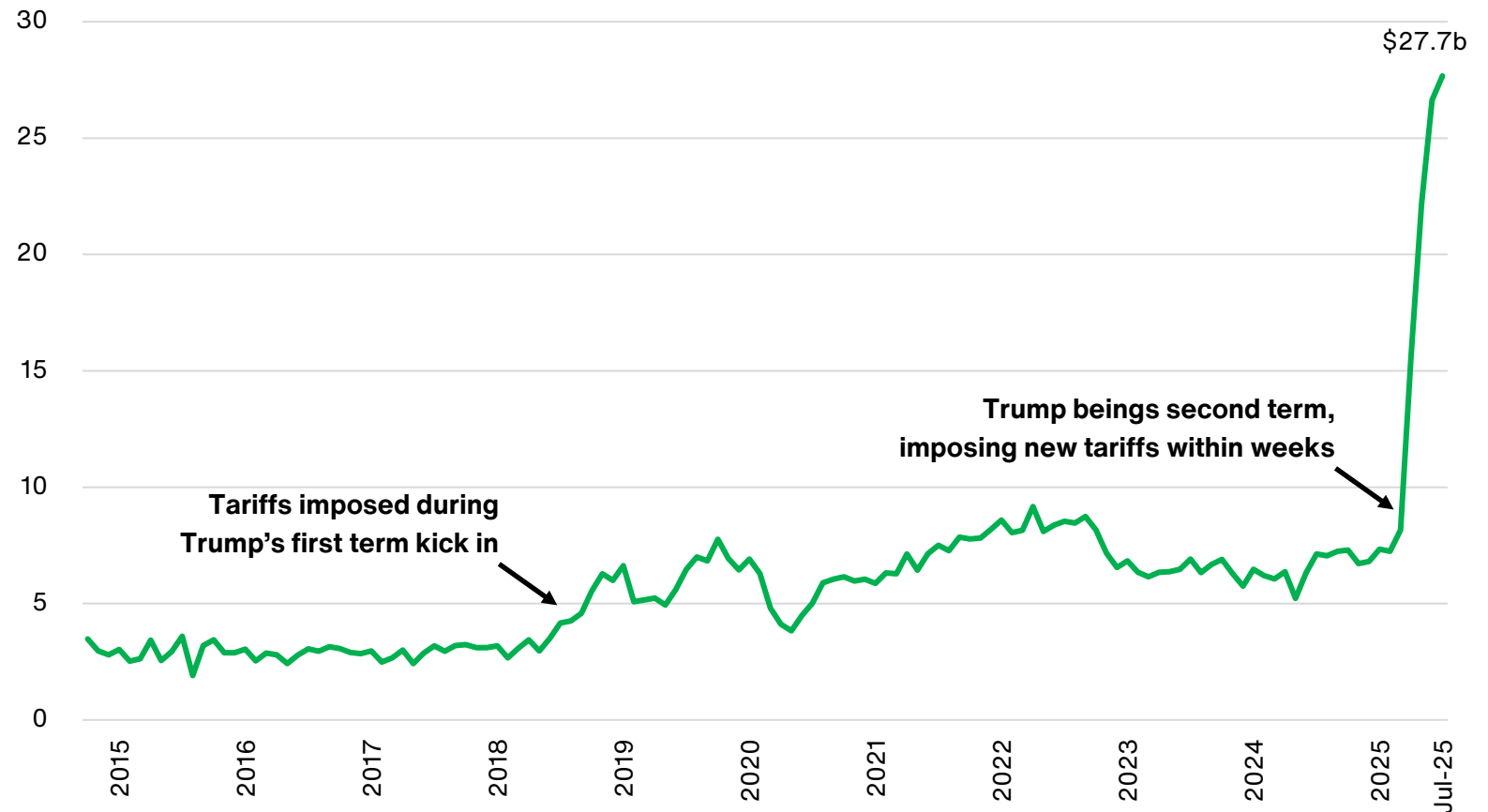
2018-2024: \$7.5b

2025: ~\$25b

Tariffs are on pace to be the 4th largest contributor to total federal government revenue for the fiscal year ending Sept 30, 2025:

- 1) Individual withheld receipts: \$2.683 trillion
- 2) Non-withheld individual receipts: \$965 billion
- 3) Corporate taxes: \$392 billion

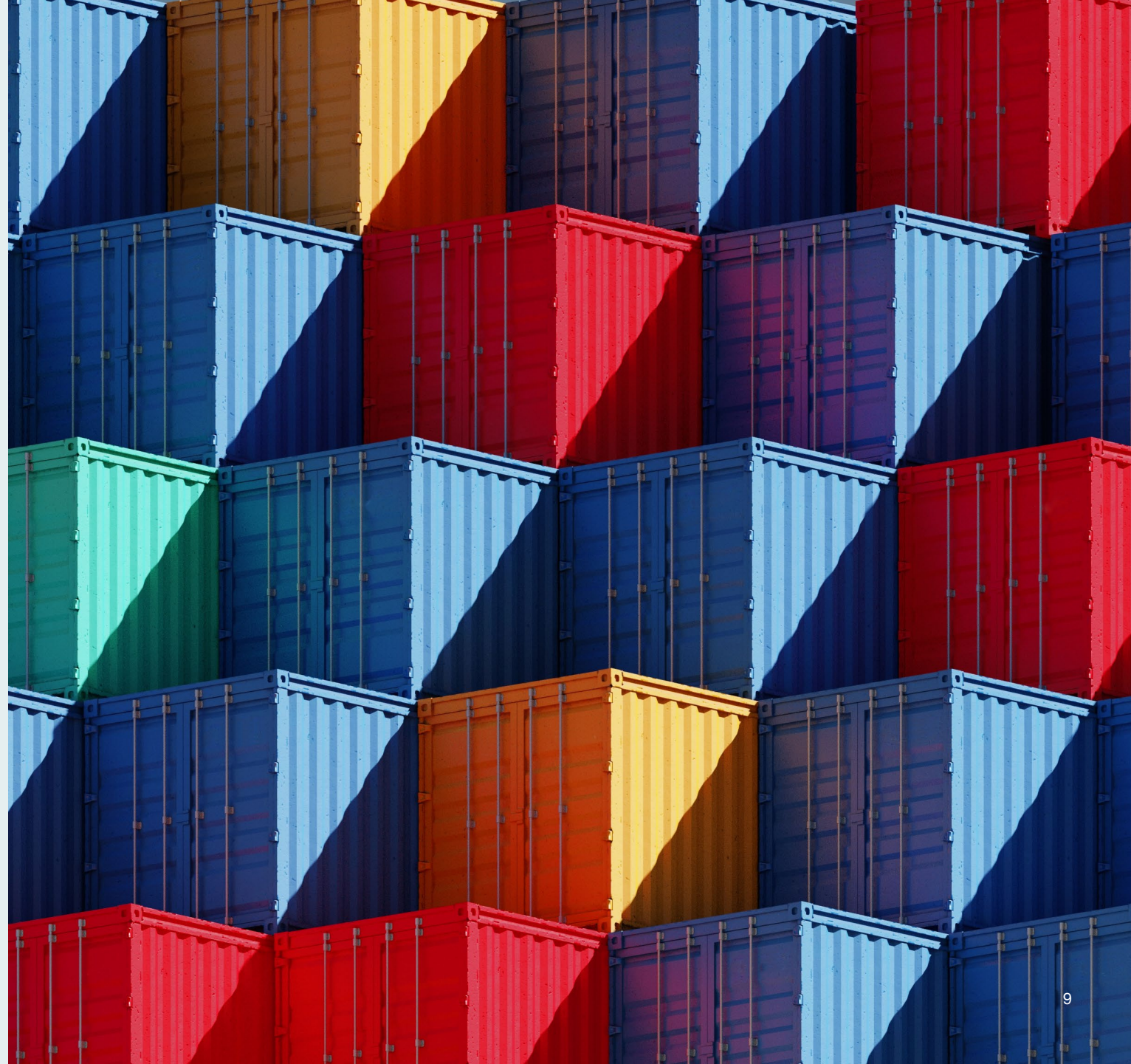
Monthly U.S. Customs Duties (\$ billions)



Data source: [Monthly Treasury Statement](#)

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Summary as of August 11



Scope of this analysis

Sources

Tariffs are sourced directly from public statements from The White House in 2025.

Import values by commodity & country are sourced from the US Census Bureau.

Personal Consumption Expenditure is sourced from the Bureau of Economic Analysis.

Methodology

Average tariff by country includes commodity specific rates and exemptions. They are weighted by 2024 imports by country & commodity.

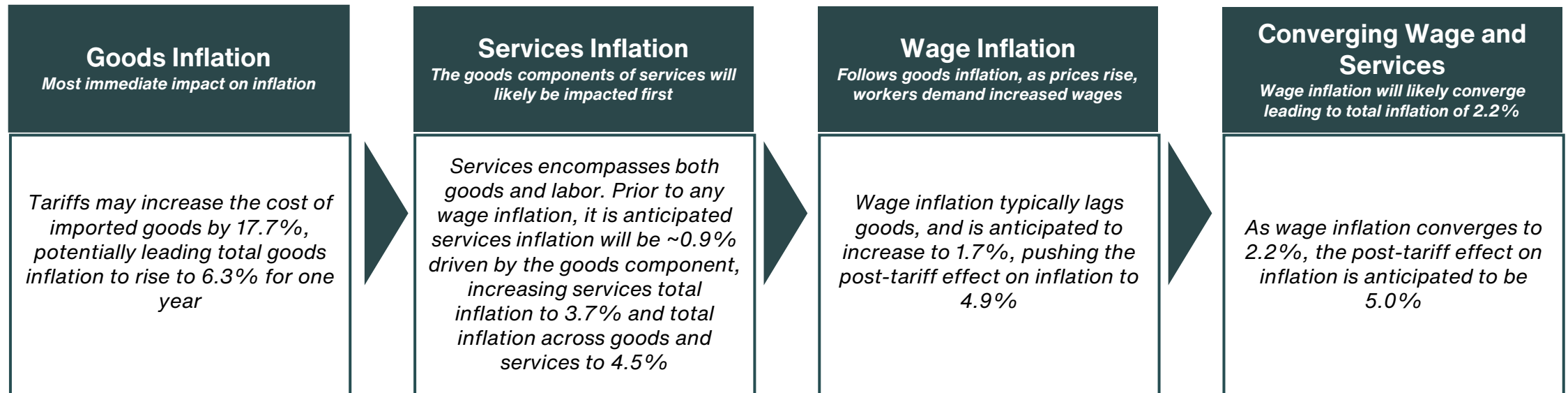
Tariffs are then grouped into Autos, Energy, and All Other.

Imports are scaled by the tariff rate and weighted against Personal Consumption Expenditures to get impact on inflation.

Impact of Tariffs

Durable goods face near immediate impacts from tariffs while wage inflation follows goods inflation

The impact of inflation is multi-step that will take two to three years to fully reflect in the economy



Key Assumptions:

- The cost associated with tariffs will be passed through to the consumer.
- Baseline inflation is 2.8% based on Personal Consumption Expenditures Price Index.
- There is 20.3T in consumption which is ~\$13.9T services (referred to as “Services Segments”) and ~\$6.3T goods (referred to as “Goods Segments”).
- The \$13.9T in services comprises of 55% labor and 45% services.
- Tariffs are assumed to have initial value of 2.5%. Motor will increase to 19.9%, Energy to 7.3% and all other to 21.4%.
- Tariffs will be passed through the cost of goods sold to the consumer but, companies will not load their profits for tariffs.

Note: Tariff rates as of August 11

Loss costs will rise depending on LOB and tariff scenario

This increase is presented as a one-time change, but will be realized over a period of 2 to 4 years

LOB Specific Insurance Inflation Due to Tariff	100% Tariff Pass Through		Partial Tariff Pass Through ~70%		Partial Tariff Pass Through 35%	
	Gross Imports	Net Imports	Gross Imports	Net Imports	Gross Imports	Net Imports
Auto Physical Damage	7.3%	4.6%	5.4%	3.4%	2.1%	1.3%
Property	4.3%	2.7%	2.6%	1.7%	1.1%	0.7%
Liability	4.4%	2.7%	1.8%	1.1%	0.4%	0.2%
Auto Liability	5.0%	3.1%	2.5%	1.5%	0.7%	0.5%

How to use these figures

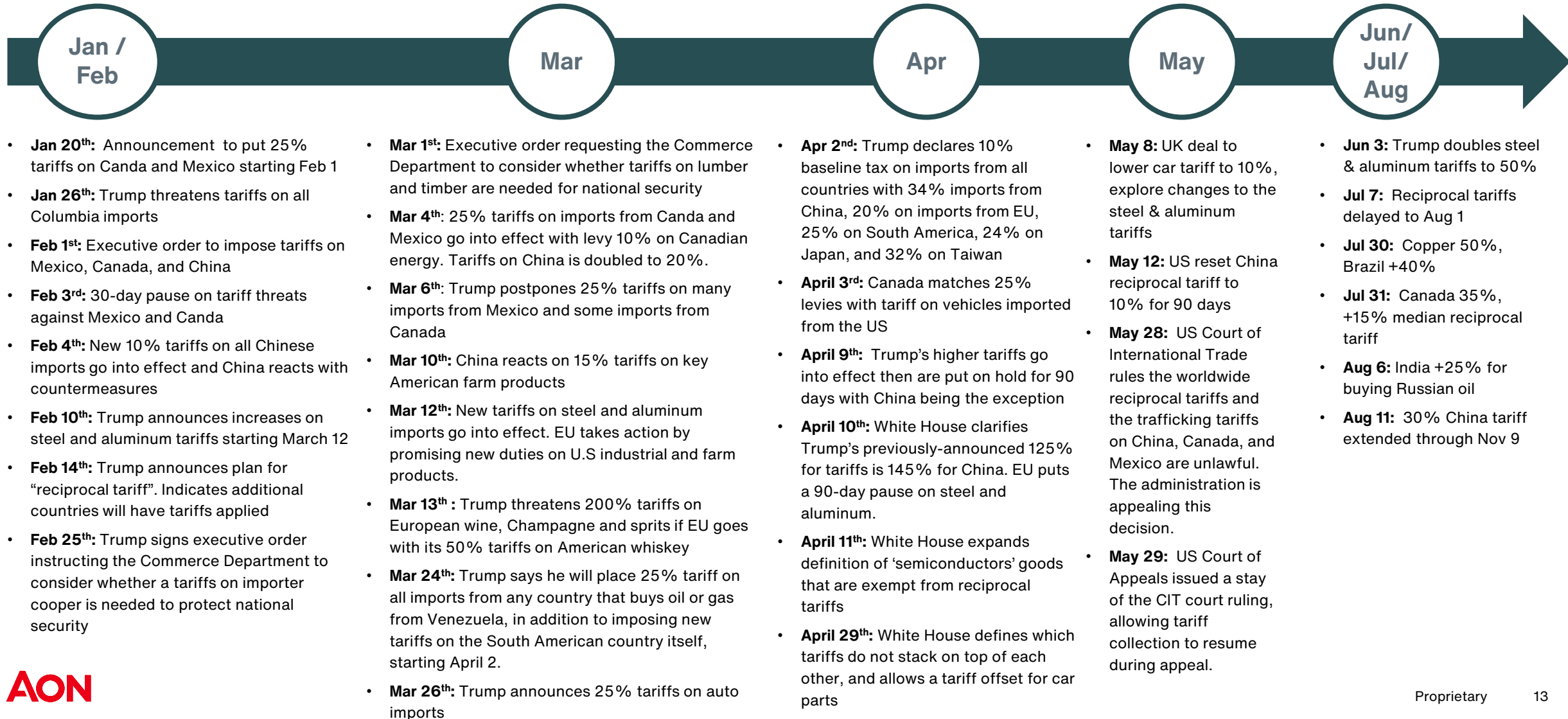
- Start with your pre-tariff view of inflation, trend historical loss to today's dollars, then scale by $(1 + \text{Tariff Effect } \%)$

Further Considerations

- The range of estimates provided reflects sensitivity to assumptions on reshoring and cost passed through to consumers
 - i. Reshoring: "Gross" is based on import levels as of today, while "Net" assumes there will be reshoring due to the tariffs.
 - ii. Pass Through: "Full" scales both profit margin and costs for tariffs. "Partial" ~70% scales only costs while holding profit dollars constant, which is similar to an estimate [made](#) by Goldman Sachs. Goldman [estimates](#) American businesses are currently absorbing 60% of tariffs.
- This estimate assumes that producer and consumer behavior does not change, that imports are consistent and simply scaled up by the tariff rate. It does not consider secondary effects of tariffs such as policy uncertainty, price impact on domestic goods, possible recession impact on demand, or the scarcity of goods due to a disruption in global trade.
- Tariffs are treated as a shock and the initial goods price effect is 3.5%. The final total tariff price effect of 5.0% is likely to materialize over a period of two or more years as wages react to tariff inflation in arrears.

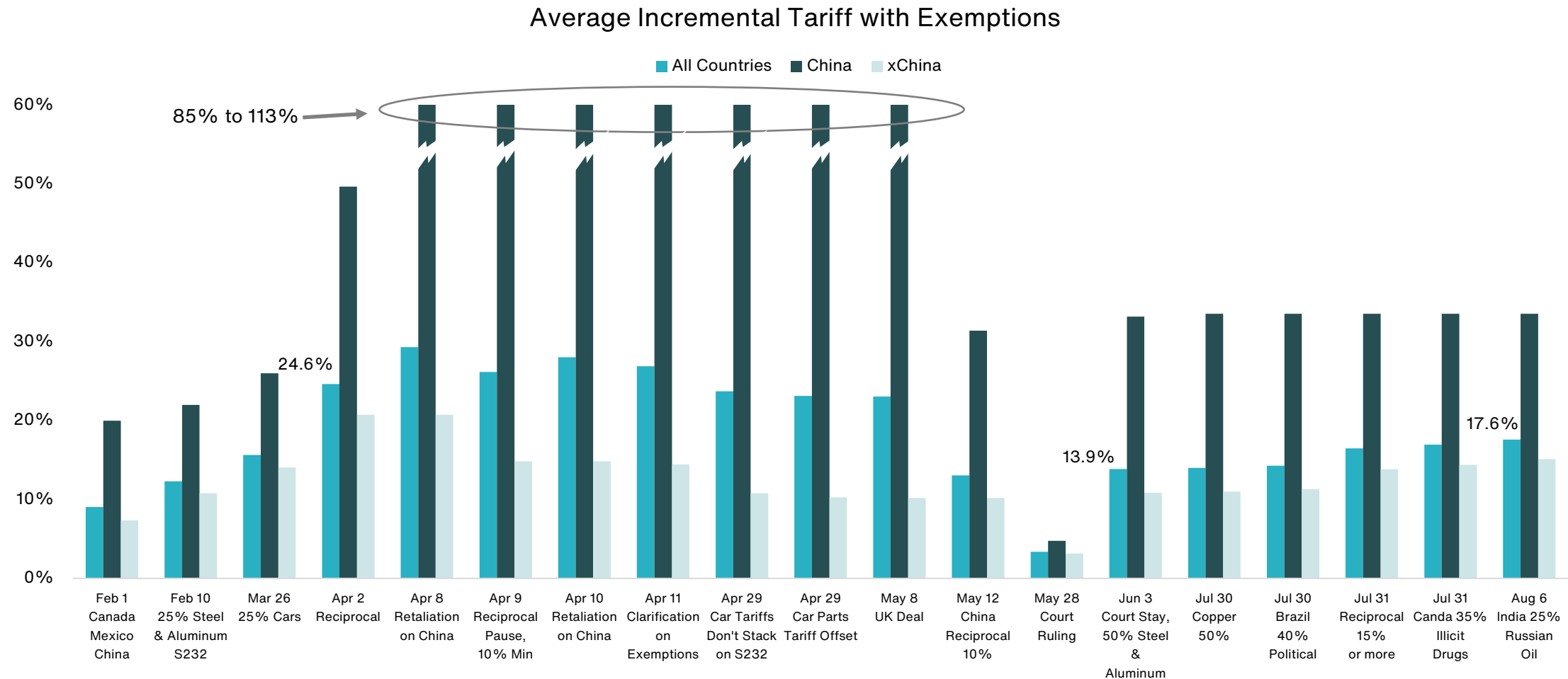
Evolving Landscape

The tariff landscape is continuously evolving



Tariff Timeline as of August 11

50% Steel, Aluminum & Copper; 25% Autos; April 29 Stack & Offset; +15% Reciprocal with exemptions, +20% for China Fentanyl, +40% Brazil Political, +25% India Russian-Oil



Tariffs will impact each industry differently

All industries are grappling with increased market volatility, uncertainty, supply chain disruptions, and additional cost pressures as well as potential inflation



Financial Institutions

- Market volatility impacts on stock bonds, and foreign exchange
- Global investment flow
- Currency fluctuations
- Corporate profits and financial reporting
- Operational costs



Food, Agriculture, & Beverage

- Market volatility impacting commodity prices
- Regulatory challenges
- US export challenges include increased warehousing inspection and processing times
- Unclear on consumer price elasticity
- Possible movement of manufacturing sites to US
- Availability of US workforce
- Negotiation and lobbying for exemptions



Life Sciences

- Funding and R&D challenges
- Patient impact including higher costs and supply chain issues
- Regulatory and financial inefficiency such as FDA approval for relocating medical device production and financial inefficiency of domestic manufacturing plans



Natural Resources

- Higher cost of imported components
- Supply chain disruptions leading to project delays
- Increase BI and repair costs
- Potential increase in electricity pricing



Technology, Media, & Communications

- Higher cost of imported components
- Supply chain disruptions leading to delays
- Price increases in AI services and cloud computing due to rise in infrastructure and maintenance costs
- Shrinking profit margins as not all costs can be passed on
- Diversion of resources from R&D
- Most impacted e-commerce, hardware, chip making tools, and data center equipment as well as consumer electronics

Some lines of business are more vulnerable to inflation than others

Tariffs will most immediately impact goods and drive wage inflation, adversely impacting most lines of business

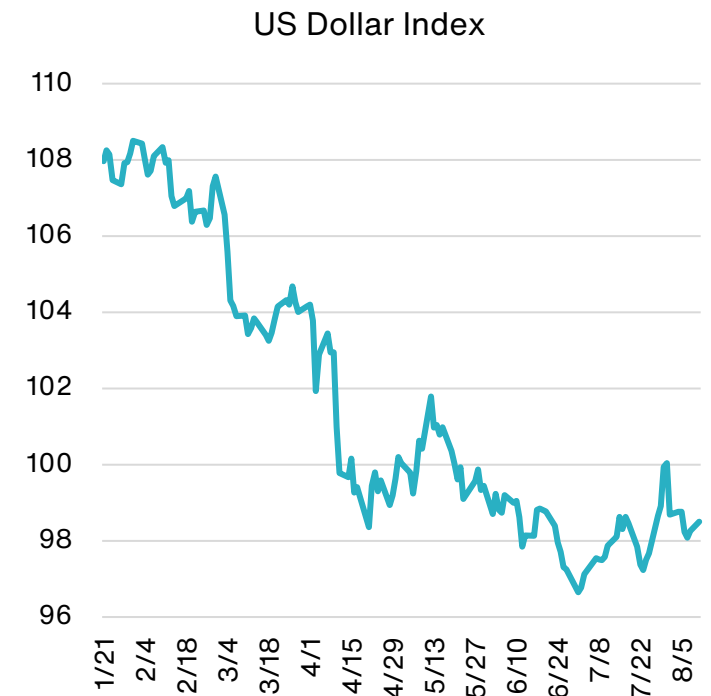
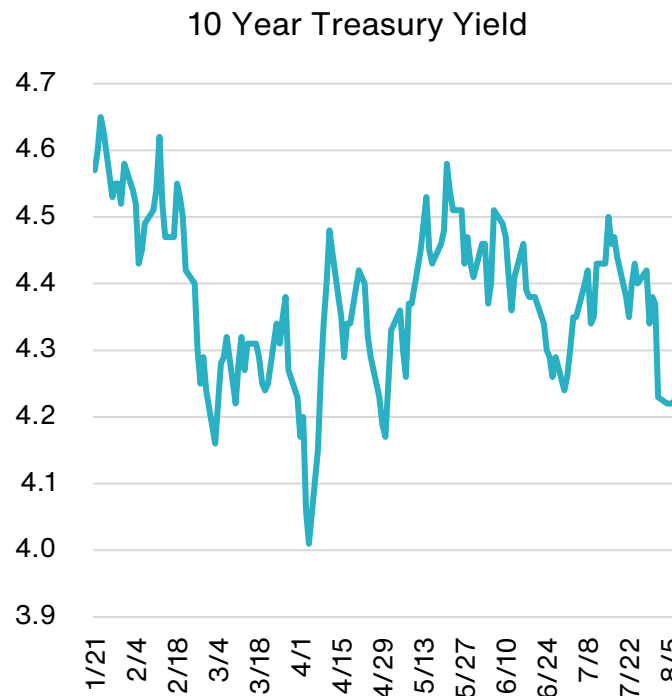
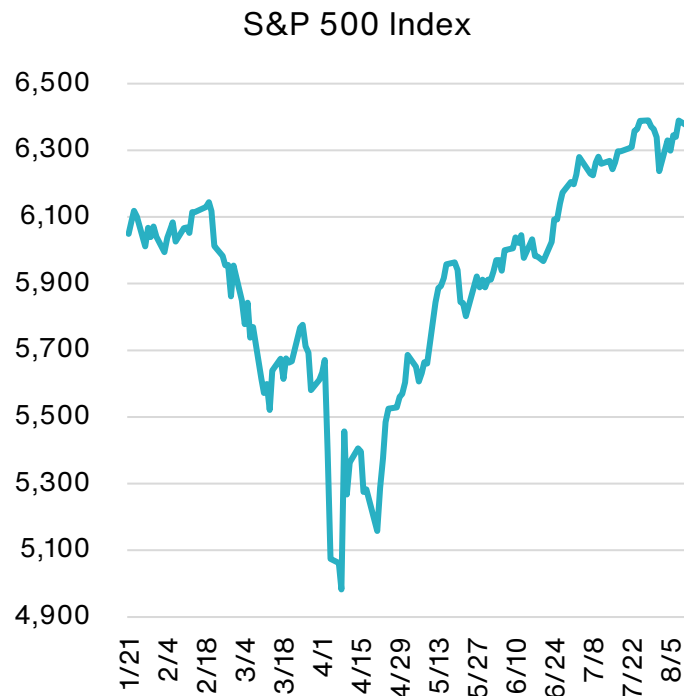
Line of business	Type of inflation	Most closely aligned index	Typical claim payment	Level of concern	Reason
Fin Pro	Depends on line	Varies	~ 5 years	Low-moderate	Large back books become exposed if inflation becomes persistent
Marine, Aviation, & Transport	Depends on line	CPI	~ 1-2 years	Moderate	- Short-tail - Cost of any rebuild or replacement will be higher
Cyber	Hardware and wage	CPI	~ 5 years	Moderate	- Increased cost across both wage and physical goods to respond to claims - Potential for increased cyber claims if tariffs lead to a recession
Casualty	Social, wage and medical cost	Wage	~ 5+ years	High	- Large back books very exposed if inflation becomes persistent - Given long-tail nature of claims, likely to be impacted by wage inflation
Motor Liability	Social, wage and medical cost	Wage	~ 6 years	High	- Large reserves are very exposed if inflation becomes persistent - Inflation to be exacerbated due tariffs - Most punitive tariffs applied to motor
Property	Reconstruction costs	CPI or rebuild index (if available)	~ 1 year	High	- Short-tail - Cost of materials and labor will rise - Increase in severity and frequency of BI claims
Motor Damage	Car parts and wage (labor costs)	CPI	< 1 year	High	- Most punitive tariffs applied to motor - Short-tailed claims that immediately impacted by goods tariffs

Level of concern

Market Movements Have Been Highly Unusual

Pullbacks from the brink have provided uplift in since April

- The U.S. S&P 500 Index fell by 12% in the week to 8 April, erasing more than \$5trn of market capitalisation.
- U.S. government debt also sold-off – 10-year treasury yields rose by 0.5%, the biggest weekly increase since 2001.
- Relative to a basket of foreign currencies, the U.S. Dollar Index has been falling in 2025, hitting a 3-year low on July 1.



Reinsurers Are Not Materially Affected by Recent Market Volatility

Executive Summary

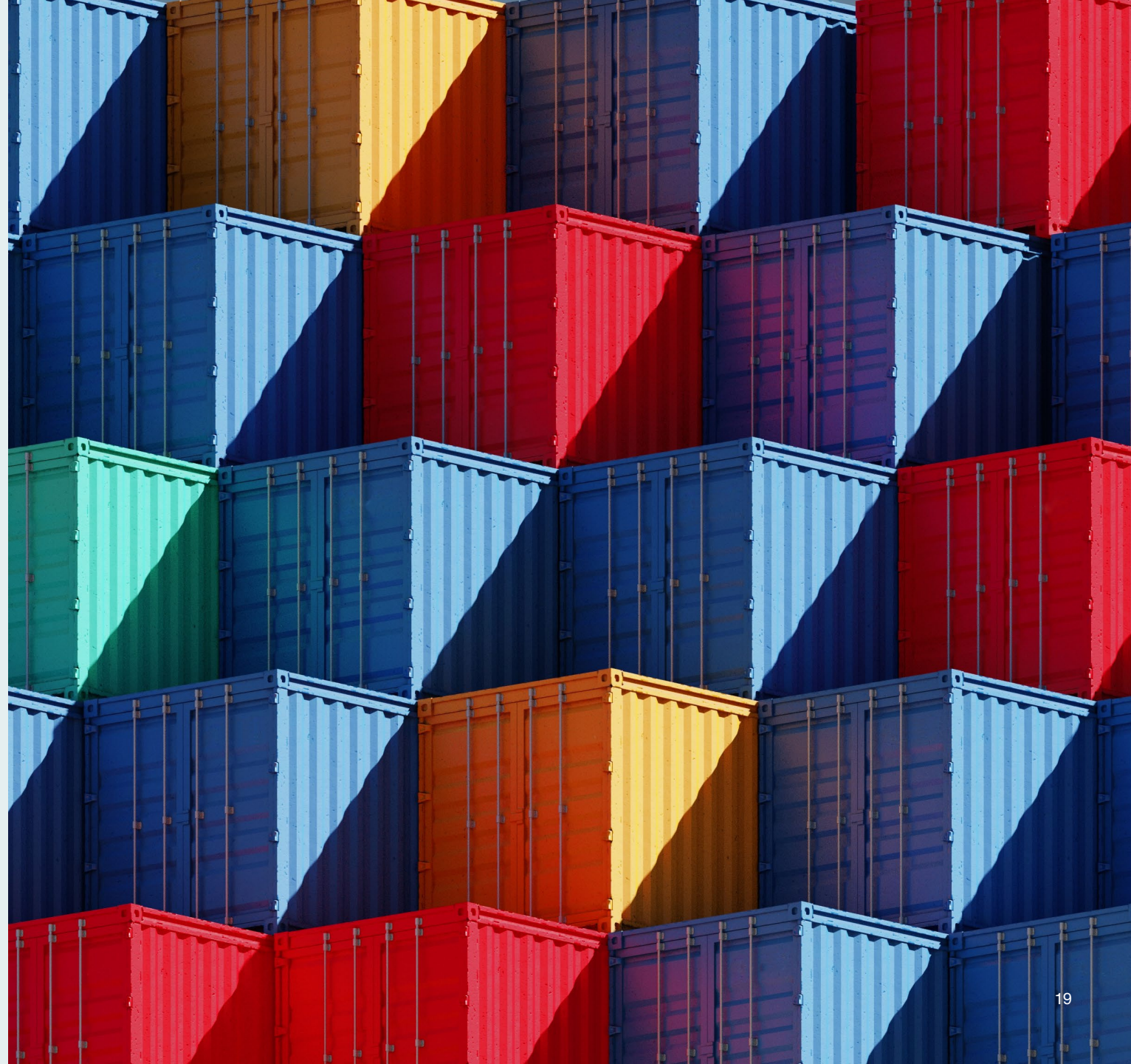
- A series of unexpectedly severe tariff announcements from the new U.S. administration in early April 2025 triggered an episode of significant capital market volatility.
 - On April 8, the VIX Index exceeded 50 for only the third time in the last 35 years
 - Very unusually, U.S. equities, U.S. treasuries and the U.S. dollar all sold-off at the same time
- The April 9 suspension of most 'reciprocal' tariffs for 90-days has since restored a degree of stability
- Investors fear tariffs and the trade war with China will result in stagflation and potentially recession
- Re/insurers are not immune to macro headwinds, but most other sectors are more exposed
 - In most cases, investment in shares is low relative to capital on the balance sheet, particularly in the P&C market
 - Leverage to bonds tends to be much higher, and credit quality is generally good. Interest rate changes or bond spreads could impact capital positions on the back of unrealized losses
- In terms of share prices, reinsurers are out-performing in the current environment

Key Takeaways

- Market volatility to-date is not expected to have a material effect on reinsurers' results or balance sheet strength.

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Tariffs from The White House



Tariffs by Group – As of August 11

Implemented via a series of Presidential Actions since February 2025

White House Rationale	Cited Authority	Canada & Mexico	China	Rest of World
Border Crisis	IEEPA	0% USMCA compliant 10% non-USMCA compliant Energy All other 25% Mexico, 35% Canada	n/a	n/a
National Emergency	IEEPA	n/a	20% Fentanyl Precursors	+40% Brazil, Political +25% India, Oil
National Security	Section 232 & 301	25% cars and parts that are non-USMCA compliant, 50% steel, aluminum, copper	25% cars and parts, 50% steel, aluminum, copper	25% cars and parts, 50% steel, aluminum, copper
Reciprocal Tariffs	IEEPA	0%	10%	+15%
Exemptions on Reciprocal		n/a	Cars, Energy, Semiconductors	Cars, Energy, Semiconductors
Baseline Total		25% to 35%	30%	16.8%
Average Total		14.0%	33.6%	15.7%

Patterns in Presidential Actions

Tariffs are often preceded by a probe or declaration of a national emergency

April 15 Executive Order lays the groundwork for The White House to potentially implement additional tariffs

White House Action	Canada & Mexico	China	Cars	World	Rare Earth
Probe or Declaration	Jan 20: Border Crisis Executive Order 14156	Jan 20: Illegal Drugs Proclamation 10886	May 2019: National Security Proclamation 9888	Jan 20: Trade Deficit Memorandum	Apr 15: National Security Executive Order
Authority	IEEPA, NEA, Section 301	IEEPA, NEA, Section 232 & 301	Section 232	IEEPA, NEA, Section 301	Section 232
Implement a Tariff	Feb 1: 25% Tariff Executive Orders 14193 , 14194	Feb 1: 20% Tariff Executive Order 14195	Mar 26: 25% Tariff Proclamation 10908	Apr 2: 10%-125% Reciprocal Tariffs Executive Orders 14257 , 14266	TBD: Secretary of Commerce submitted report for internal review by Jul 14

IEEPA = International Emergency Economic Powers Act ([link](#)); NEA = National Emergencies Act ([link](#))

Section 232 = relates to Trade Expansion Act of 1962 ([document](#), [summary](#)); Section 301 = relates to Trade Act of 1974 ([link](#))

US Court of International Trade (CIT) ruled against broad-based tariffs

May 29: All tariffs still in effect while the Trump administration appeals this decision

Federal court rules that tariffs implemented under the International Emergency Economic Powers Act (IEEPA) are unlawful

Two separate lawsuits were brought before the court, a group of small businesses and 12 U.S. states

Ruling covers 'worldwide, retaliatory tariffs' (10% reciprocal) & 'trafficking tariffs' (20% China, 25% Canada & Mexico)

- 1) Worldwide & Retaliatory Tariff Orders exceed the authority given to the President by IEEPA. The President can regulate imports, but not by using tariffs. Tariffs are beyond the powers granted by the law since they are 'unbounded'.
- 2) Trafficking tariffs were found to be invalid as they did not address the threats outlined in the orders.

The Plaintiffs don't have to pay the tariffs, but how does this apply to the rest of the country?

Duties, imposts, and excises must be applied to all states, otherwise they do not meet the constitutional requirement for uniformity (Article I, Sec 8, Clause 1). If 12 states do not have to pay the tariffs, then no states must pay the tariffs.

The Justice Department has said the lawsuits should be dismissed

- 1) The plaintiffs have not been harmed by tariffs that they have not yet paid, and
- 2) Only Congress, not private businesses, can challenge a national emergency declared by the president under IEEPA

What happens next?

Jul 31, oral arguments made to US Court of Appeals for the Federal Circuit. It could go all the way to the Supreme Court.

What does the CIT ruling mean for the insurance industry?

Auto & Commercial Property are still impacted

Uncertainty itself contributes to price volatility

Executive Orders have not been reversed, so IEEPA tariffs are still being collected while the court ruling is appealed.

Businesses are back in a holding pattern on strategy, hiring, expansion, etc.

If the ruling stands, there could be a rush of orders from importers, leading to a spike in shipping costs and delays at ports.

Tariffs remain on cars, steel and aluminum

These tariffs were applied under the authority of Sections 232 & 301 of congressional acts.

Section 232 relates to Trade Expansion Act of 1962 ([document](#), [summary](#)). Section 301 relates to Trade Act of 1974 ([link](#)).

Tariffs justified by Sections 232 & 301 could have more staying power than IEEPA justified tariffs

President Trump implemented steel & aluminum tariffs during his first term which survived multiple legal challenges.

These sector-specific tariffs were supported by an investigation done by the Secretary of Commerce.

The President could continue with tariffs in this manner, but an investigation for each sector would slow the pace of tariffs.

Other avenues for tariffs

The Republican party still maintains a narrow margin in both the House and Senate. They could pass legislation on the matter.

Similar to IEEPA, cite other authorities that haven't been used for tariffs, such as Section 122 of the Trade Act of 1974 (up to 15% for 150 days, unless extended by Congress), or Section 338 of the Tariff Act of 1930 (Depression-era law, up to 50%).

Average tariff rate of 17.6%

50% Steel, Aluminum & Copper; 25% Autos; April 29 Stack & Offset; +15% Reciprocal with exemptions, +20% China Fentanyl, +40% Brazil Political, +25% India Russian-Oil

			Worldwide Tariffs, no commodity-specific adjustments										With Commodity-specific rates and exemptions
			Presidential Actions										
	US Imports by Country (\$ millions)	% of Imports	2025 Q1 Canada, Mexico, China	Apr 2 Reciprocal	Apr 8 Retaliation	Apr 9 Pause	Apr 10 Retaliation	May 12 China 10%	May 28 Court Ruling	29-May Court Stay	31-Jul Reciprocal Update	Cumulative Tariff	
Country													
Total	3,359	100.0%										22.2%	17.6%
Total, excl China	2,897	86.2%										20.9%	15.1%
Mexico	510	15.2%	25.0%	0.0%		0.0%			-25.0%	25.0%		25.0%	12.5%
Canada	422	12.6%	25.0%	0.0%		0.0%			-25.0%	25.0%	10.0%	35.0%	15.8%
Global Minimum	257	7.7%		10.0%					-10.0%	10.0%		10.0%	8.0%
European Union	618	18.4%		20.0%		-10.0%			-10.0%	10.0%	5.0%	15.0%	12.8%
China	463	13.8%	20.0%	34.0%	50.0%	21.0%	20.0%	-115.0%	-30.0%	30.0%		30.0%	33.6%
Japan	152	4.5%		24.0%		-14.0%			-10.0%	10.0%	5.0%	15.0%	17.5%
Vietnam	142	4.2%		46.0%		-36.0%			-10.0%	10.0%	10.0%	20.0%	18.3%
South Korea	135	4.0%		25.0%		-15.0%			-10.0%	10.0%	5.0%	15.0%	16.5%
Taiwan	119	3.5%		32.0%		-22.0%			-10.0%	10.0%	10.0%	20.0%	14.6%
India	91	2.7%		26.0%		-16.0%			-10.0%	10.0%	15.0%	25.0%	43.1%
Thailand	66	2.0%		36.0%		-26.0%			-10.0%	10.0%	9.0%	19.0%	17.8%
Switzerland	64	1.9%		31.0%		-21.0%			-10.0%	10.0%	29.0%	39.0%	23.8%
Malaysia	54	1.6%		24.0%		-14.0%			-10.0%	10.0%	9.0%	19.0%	12.4%
Brazil	44	1.3%		10.0%		0.0%			-10.0%	10.0%		10.0%	30.5%
All Other in Annex I	222	6.6%		23.9%		-13.9%			-10.0%	10.0%	8.9%	18.9%	13.3%

Sources: US Census Bureau, announcements from The White House, Aon Reinsurance Solutions

Tariff Implications for P&C insurers

1) Insurance costs will rise

- i. Supply chains take several years to move countries. In the short term, the cost of tariffs will be paid by consumers importing goods such as vehicles or building materials.
- ii. As seen during Covid, disruption in the international supply chain can lead to cost increases for domestic goods.
- iii. Some goods might become unavailable at any price if countries apply export restrictions or sanctions. Shortage of critical building materials could leave some production stalled or delayed, like the Auto industry saw during Covid.
 - April 4: China has issued restrictions on exporting rare earth materials to US and other countries ([Link](#)).

2) Profitability will suffer until rate increases can be filed and earned into premium

- i. When Covid sparked inflation in 2020, it took insurers 2 years to recognize the cost increase and then earn the rate increases into their premium.
- ii. It may only take 1-year this time, since the cost increase was announced via an Executive Order.

3) Assets may be stressed if global economies slow

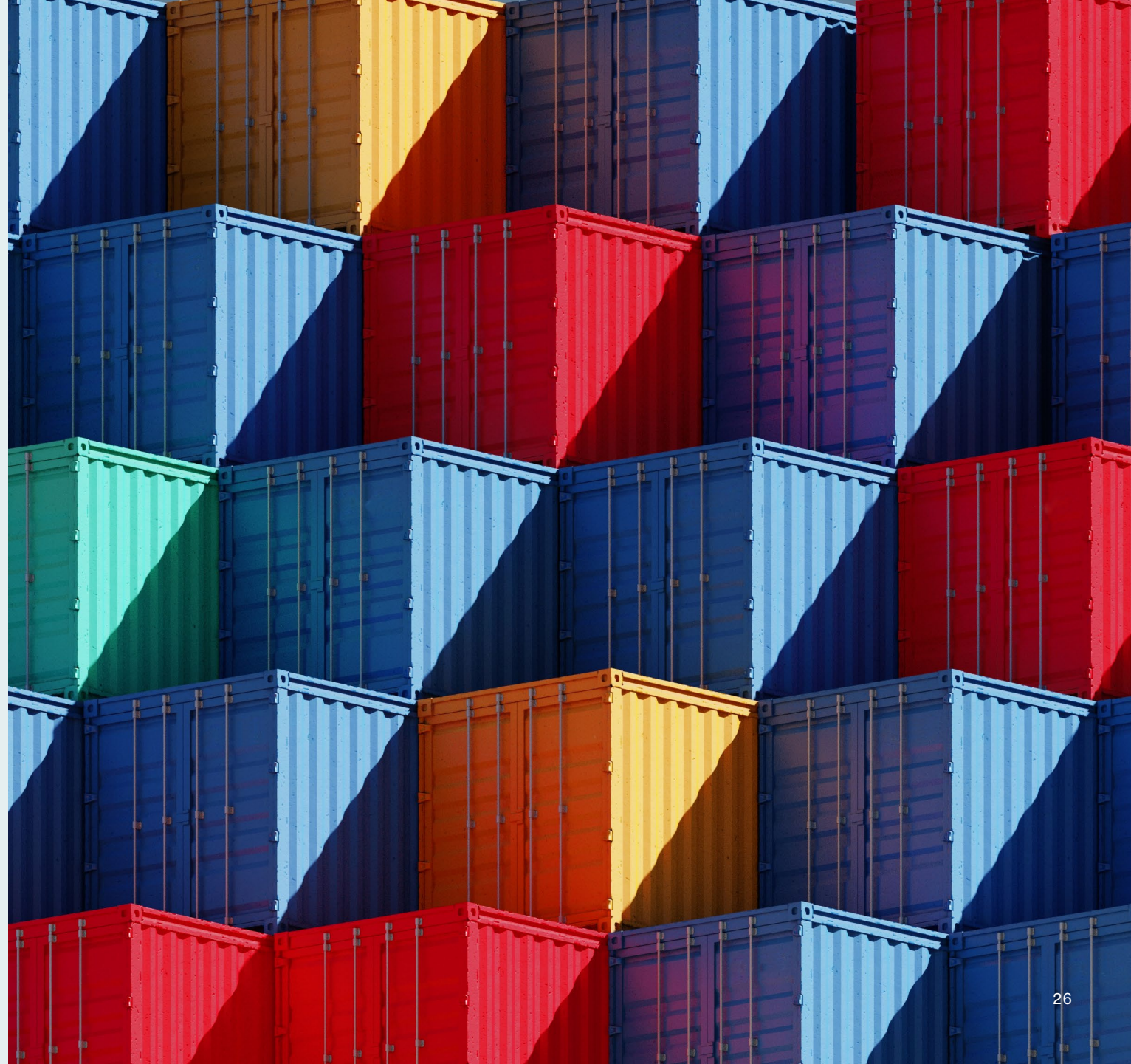
- i. Equity & bond markets experienced a lot of volatility following tariff announcements.
- ii. Investment income could decrease if equity and bond markets deteriorate, thus impacting operating income.

4) Reciprocal tariffs from other countries could depress economic activity, thus decreasing premium volume

- i. From April 4 to April 10, the US and China exchanged retaliatory tariffs. US tariff on China is 145%, and China has a 125% on the US. The EU announced a 20% retaliatory tariff but then paused it when the US announced a pause.
- ii. May 12: China reset to 10% reciprocal, other tariffs remain in place. This deal has been extended to November 9.

4

August 11 Estimation of Tariff Impact on Loss Cost Step By Step



How much of a tariff will be passed through to the cost of goods?

A full pass through assumes a 10% tariff yields 10% price increase

Pricing Scenarios

	Before Tariff		After 10% Tariff			
			No Pass- Through	Constant Profit	Constant Margin	
Units		10	10	10	10	10
Goods	\$	60	\$ 66	\$ 66	\$ 66	\$ 66
Price	\$	100	\$ 100	\$ 106	\$ 110	\$ 110
Profit	\$	40	\$ 34	\$ 40	\$ 44	\$ 44
Margin		40%	34%	38%	40%	40%

- 1) **No Pass-through:** Companies absorb the cost of the tariff to keep prices constant. Both profit & margin decrease.
- 2) **Constant profit:** Companies increase prices to keep profit the same, but at a lower margin.
- 3) **Constant Margin:** Companies increase prices to keep the margin the same, which increases their profits.
- 4) **Shrink-flation:** Same price & margin, but fewer units.

The 10% price increase for a 10% tariff is a constant (percentage) margin price model. In the table to the left we see that this model would yield a higher profit post tariff than pre-tariff for a product with a 40% margin.

It is likely that some part of a tariff is absorbed by the seller. In the constant profit scenario with a 40% margin, the tariff itself is fully passed through to the buyer, but the price increase is 6% not 10%. Actual margins vary by product category. If the margin is 0%, then the price increase to maintain the 0% margin is the same as the tariff increase.

The actual level of tariff passed through depends upon elasticity of supply and demand as sellers seek to maximize profit and buyers optimize consumption.

Goldman Sachs estimates that American businesses are currently absorbing around 60% of tariffs - [The Economist](#)

Their initial assumption was that 70% of tariffs would be passed onto consumers. [Goldman Sachs](#)

Tariffs may increase the cost of imported goods by 17.7%

25% Autos; 50% Steel/Aluminum/Copper, ~15% Reciprocal with Exemptions;
30% China, 50% Brazil, 50% India

Goods Segments	Consumption (000)	Gross Imports (000)	Old Tariff	New Tariff	Change in Tariff (New Tariff – Old Tariff)
Motor vehicles and parts	\$763,793	\$474,297	2.5%	19.9%	17.4%
Furnishings and durable household equipment	\$496,016	\$109,135	2.5%	21.4%	18.9%
Recreational goods and vehicles	\$676,759	\$148,902	2.5%	21.4%	18.9%
Other durable goods	\$295,594	\$65,037	2.5%	21.4%	18.9%
Food and beverages purchased for off-premises consumption	\$1,503,915	\$216,069	2.5%	21.4%	18.9%
Clothing and footwear	\$528,815	\$116,351	2.5%	21.4%	18.9%
Gasoline and other energy goods	\$423,196	\$93,113	2.5%	7.3%	4.8%
Other nondurable goods	\$1,666,705	\$366,712	2.5%	21.4%	18.9%
All Goods Segments	\$6,354,793	\$1,589,616	2.5%	20.2%	17.7%

- **The actual level of tariffs is fluid as trade negotiations continue. As President Trump has called for “reciprocal tariffs” current proposed levels may fall in negotiation.**
- Negotiations will be challenged by non-tariff barriers to trade
 - For example, Canada proposed to outlaw the sale of US whiskey, effectively imposing an infinite tariff rate which would have a trade weighted measure of 0%
- China is following a similar pattern with agriculture, restricting poultry imports on the basis of food safety.
- China has also restricted the export of rare earth materials, which could drive up the cost of making certain finished products.

Weighted tariff impact ~3.5% as gross imports are a fraction of domestic production

Total goods inflation is estimated to rise to 6.3% for one year

Goods Segments	Consumption (000)	Gross Imports (000)	Gross Imports Ratio (Gross Imports / Consumption)	Old Tariff	New Tariff	Change in Tariff (New Tariff - Old Tariff)	Import Weighted Tariff Change (Gross Imports Ratio x Change in Tariff)	Gross Margin	Tariff Passed thru to Consumer (Import Weighted Tariff Change x [1 - Gross Margin])	Baseline Inflation ¹	Post Tariff Inflation (Tariff Passed thru to Consumer + Baseline Inflation)
Motor vehicles and parts	\$763,793	\$474,297	62.1%	2.5%	19.9%	17.4%	10.8%	15.0%	9.2%	2.8%	12.0%
Furnishings and durable household equipment	\$496,016	\$109,135	22.0%	2.5%	21.4%	18.9%	4.2%	26.0%	3.1%	2.8%	5.9%
Recreational goods and vehicles	\$676,759	\$148,902	22.0%	2.5%	21.4%	18.9%	4.2%	36.7%	2.6%	2.8%	5.4%
Other durable goods	\$295,594	\$65,037	22.0%	2.5%	21.4%	18.9%	4.2%	26.0%	3.1%	2.8%	5.9%
Food and beverages purchased for off-premises consumption	\$1,503,915	\$216,069	14.4%	2.5%	21.4%	18.9%	2.7%	14.8%	2.3%	2.8%	5.1%
Clothing and footwear	\$528,815	\$116,351	22.0%	2.5%	21.4%	18.9%	4.2%	51.9%	2.0%	2.8%	4.8%
Gasoline and other energy goods	\$423,196	\$93,113	22.0%	2.5%	7.3%	4.8%	1.1%	34.6%	0.7%	2.8%	3.5%
Other nondurable goods	\$1,666,705	\$366,712	22.0%	2.5%	21.4%	18.9%	4.2%	14.3%	3.6%	2.8%	6.4%
Goods	\$6,354,793	\$1,589,616	25.0%	2.5%	20.2%	17.7%	4.4%	22.8%	3.5%	2.8%	6.3%

- As reported in February 2025 by the Bureau of Economic Analysis, Personal Consumption Expenditures Index. There is a period of adjustment while these changes are made.
- Baseline inflation metric to be determined by insurer/reinsurer based on their view of the market.

Services consist of goods & labor inputs and inflation effect is delayed relative to goods alone

Analysis assumes services consumption encompasses 55% labor and 45% goods



- Of the \$20.3T in expenditure, \$13.9T (~68%) is services.
- The services can be broken into goods and labor which react to inflation differently
 - The goods component of services consumption is estimated at 3.5% and is more quickly reflected in the economy
 - The labor aspect of services consumption is subject to wage inflation which usually follows goods inflation

The goods components of services further impacts inflation

Before labor inflation, the services segment would have an inflation impact due to tariff impacts and assumed pass through ~0.9%

Services Segment	Consumption (000)	Labor Share of Cost (000) (55% of Consumption)	Goods Share of Cost (000) (45% of Consumption)	Labor Inflation	Goods Inflation	Blended Inflation	Gross Margin	Tariff Passed thru to Consumer (Blended Inflation x [1 - Gross Margin])	Baseline Inflation	Post Tariff Inflation (Tariff Passed thru to Consumer + Baseline Inflation)
Housing and utilities	\$3,622,333	\$1,992,283	\$1,630,050	0.0%	3.5%	1.6%	48.0%	0.8%	2.8%	3.6%
Health care	\$3,405,051	\$1,872,778	\$1,532,273	0.0%	3.5%	1.6%	36.0%	1.0%	2.8%	3.8%
Transportation services	\$674,571	\$371,014	\$303,557	0.0%	3.5%	1.6%	25.1%	1.2%	2.8%	4.0%
Recreation services	\$794,789	\$437,134	\$357,655	0.0%	3.5%	1.6%	36.7%	1.0%	2.8%	3.8%
Food services and accommodations	\$1,455,087	\$800,298	\$654,789	0.0%	3.5%	1.6%	32.4%	1.1%	2.8%	3.9%
Financial services and insurance	\$1,606,371	\$883,504	\$722,867	0.0%	3.5%	1.6%	66.0%	0.5%	2.8%	3.3%
Other services	\$1,694,942	\$932,218	\$762,724	0.0%	3.5%	1.6%	34.9%	1.0%	2.8%	3.8%
Final consumption expenditures of nonprofit institutions serving households (NPISHs) (132)	\$647,518	\$356,135	\$291,383	0.0%	3.5%	1.6%	14.4%	1.3%	2.8%	4.1%
Services	\$13,900,662	\$7,645,364	\$6,255,298	0.0%	3.5%	1.6%	40.6%	0.9%	2.8%	3.7%

Before labor inflation, there will be impact to both goods and services inflation

Goods and services inflation prior to baseline inflation and estimated pass through would be 3.5% and 0.9% respectively, pushing post tariff inflation to 4.5%

Segment	Consumption (000)	Gross Imports (000)	Weighted Tariff Changes	Gross Margin	Tariff Passed Thru to Consumer (Weighted Tariff Change x [1 - Gross Margin])	Baseline Inflation	Post Tariff Inflation (Tariff Passed Thru to Consumer + Baseline Inflation)
Goods	\$6,354,794	\$1,589,616	4.4%	22.8%	3.5%	2.8%	6.3%
Services	\$13,900,661	\$0	1.6%	40.6%	0.9%	2.8%	3.7%
Total Consumption	\$20,255,455	\$1,589,616	2.5%	35.0%	1.7%	2.8%	4.5%

A wage price spiral is likely to ensue converging to a 2.2% tariff effect

With wage increases adjusted for the initial shock of good inflation in arrears, it is likely over time services inflation will converge to 1.7%

Services wage will begin to rise to support the converging of wage inflation to goods, leading to services inflation to push 1.5% and post tariff inflation at 4.9%.

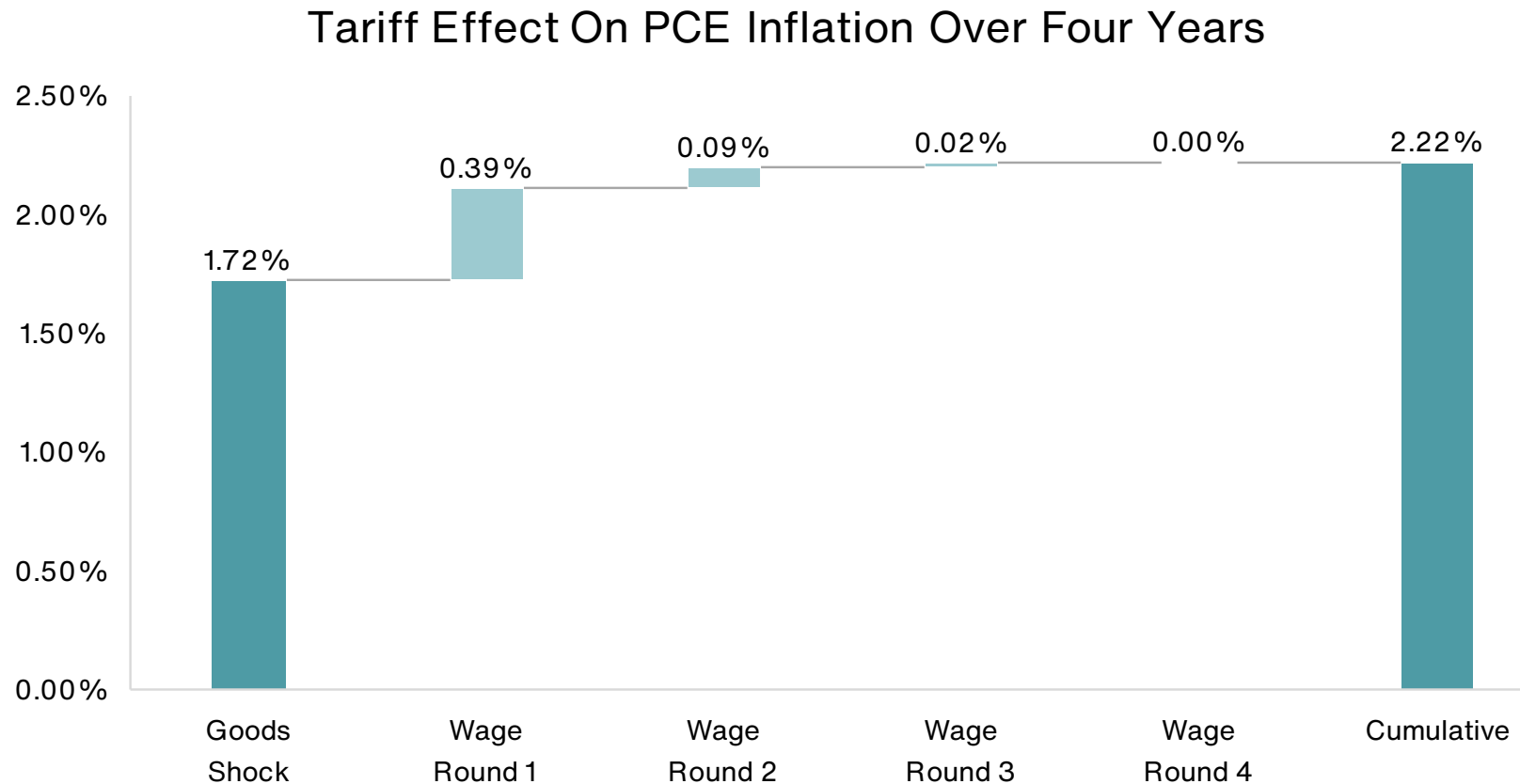
Segment	Consumption (000)	Gross Imports (000)	Weighted Tariff Changes	Gross Margin	Tariff Passed Thru to Consumer (<i>Import Weighted Tariff Change x [1 - Gross Margin]</i>)	Baseline Inflation	Post Tariff Inflation (<i>Weighted Tariff Changes + Baseline Inflation</i>)
Goods	\$6,354,794	\$1,589,616	4.4%	22.8%	3.5%	2.8%	6.3%
Services	\$13,900,661	\$0	2.5%	40.6%	1.5%	2.8%	4.3%
Total Consumption	\$20,255,455	\$1,589,616	3.1%	35.0%	2.1%	2.8%	4.9%

5.0% post tariff inflation as services (wage component) inflation converges to 2.2%. This is lower than the goods inflation as higher gross margins allows service industries to pass through less of the tariff effect to consumers.

Segment	Consumption (000)	Gross Imports (000)	Weighted Tariff Changes	Gross Margin	Tariff Passed Thru to Consumer (<i>Import Weighted Tariff Change x [1 - Gross Margin]</i>)	Baseline Inflation	Post Tariff Inflation (<i>Weighted Tariff Changes + Baseline Inflation</i>)
Goods	\$6,354,794	\$1,589,616	4.4%	22.8%	3.5%	2.8%	6.3%
Services	\$13,900,661	\$0	2.8%	40.6%	1.7%	2.8%	4.5%
Total Consumption	\$20,255,455	\$1,589,616	3.3%	35.0%	2.2%	2.8%	5.0%

Tariff model shows four years of wage inflation following the goods shock

The first round of wage inflation increases the total tariff effect from 1.72% to 2.22%



Three more iterations of tariff induced wage inflation yield the developed PCE tariff effect of 2.22%.

Insurance claims are likely to see greater tariff effects

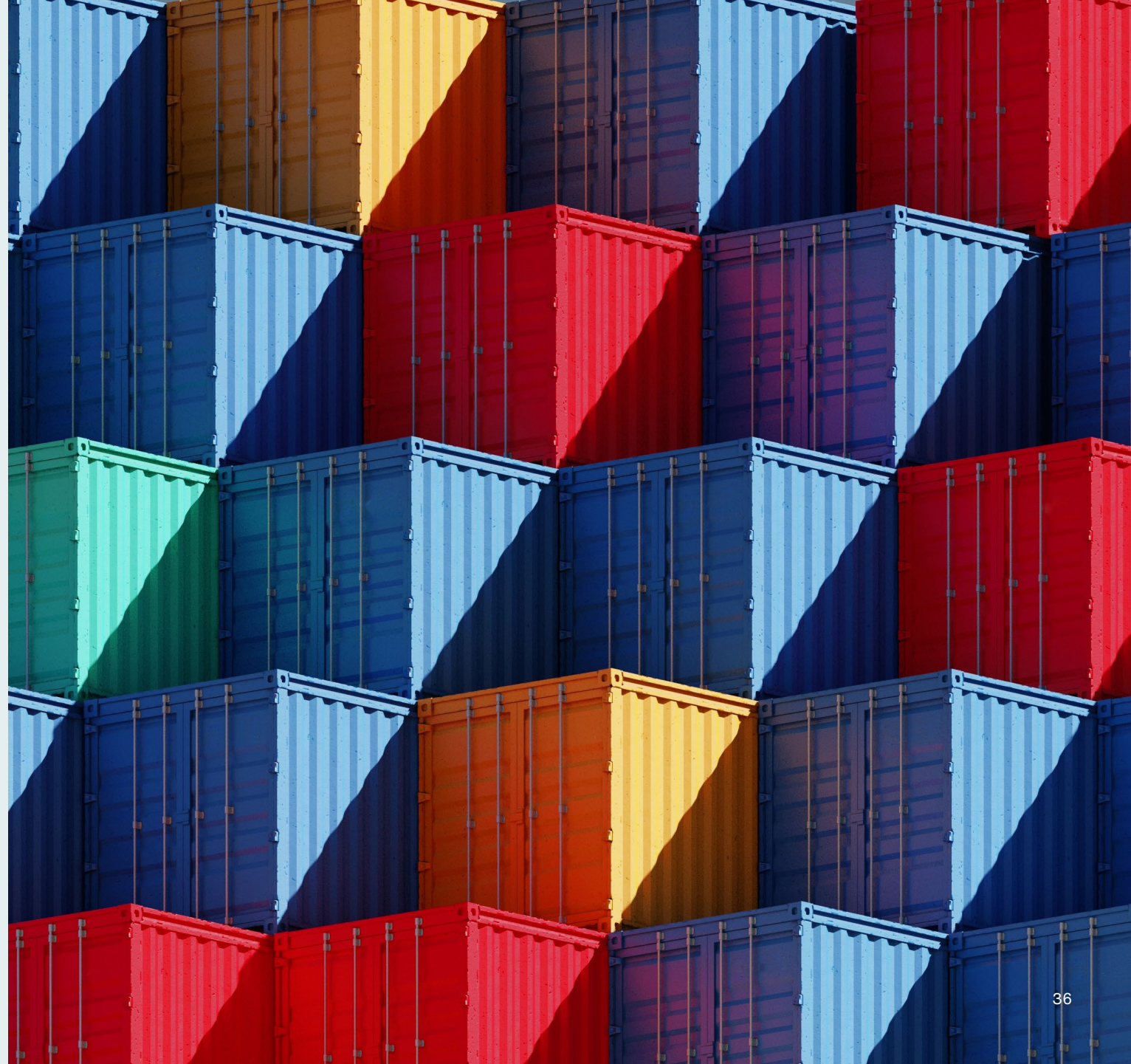
Compared to average tariff inflation of 2.15%, insurance ranges from 1.03% to 7.19%

LOB Specific Insurance Inflation Due to Tariff	Baseline Inflation	July 31				Sensitivity to Assumptions			
		Labor Inflation	Goods Inflation	Post Tariff Inflation	Tariff Effect	Gross Imports, Full Pass Through	Gross Imports, Partial Pass Through	Net Imports, Full Pass Through	Net Imports, Partial Pass Through
Auto Physical Damage	2.80%	5.02%	12.00%	8.16%	5.36%	7.30%	5.36%	4.60%	3.39%
Property	2.80%	5.02%	5.88%	5.41%	2.61%	4.31%	2.61%	2.74%	1.67%
Liability	2.80%			4.58%	1.78%	4.42%	1.78%	2.67%	1.06%
Auto Liability	2.80%			5.29%	2.49%	4.99%	2.50%	3.05%	1.53%

- For auto physical damage we use the 8.16% post tariff auto goods inflation and 45% weight to yield 5.36% claim inflation
- For property we use the 5.41% post tariff goods inflation to yield 2.61% extra claim inflation
- General liability is assigned post tariff inflation of 4.58% based on health care services
- Auto liability is assigned a post tariff inflation of 5.29% based on 80% liability and 20% auto physical damage

5

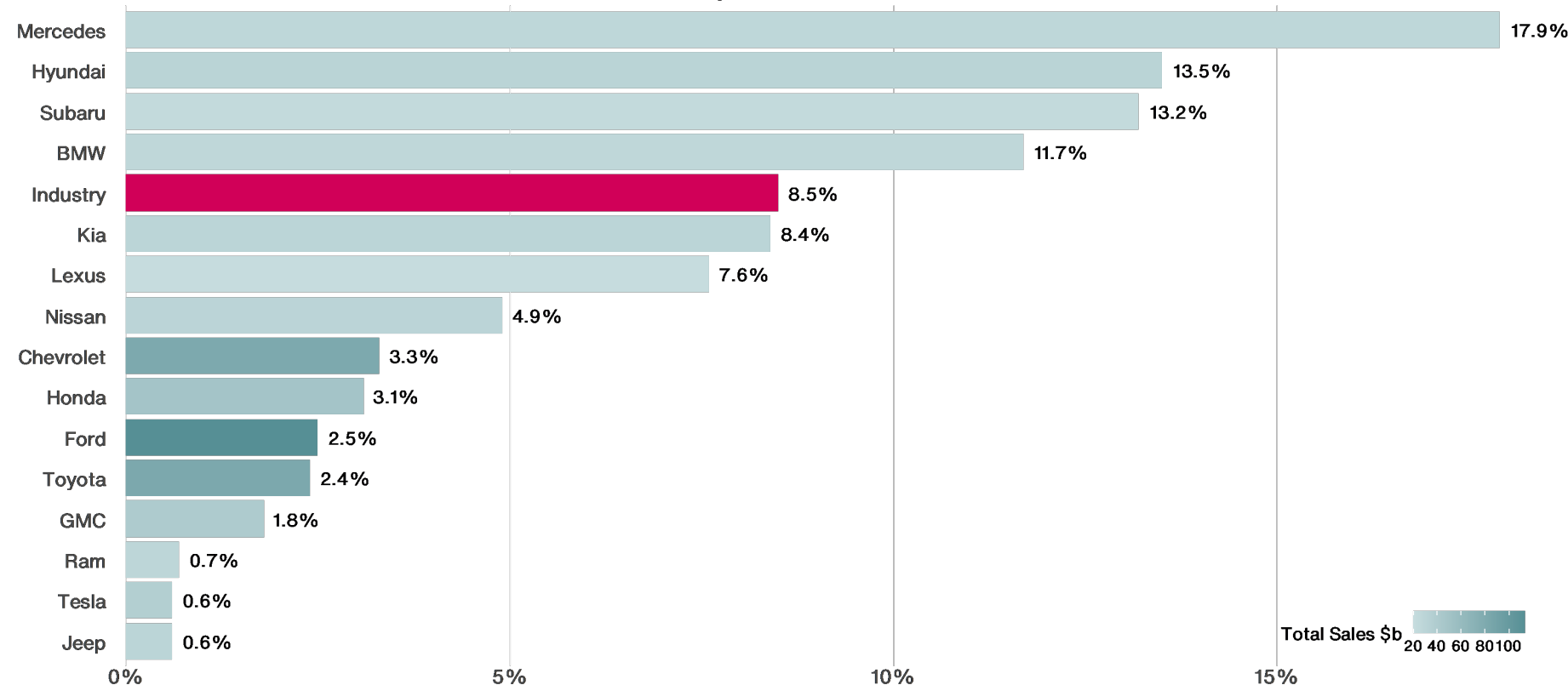
A Closer Look at Auto



If unit sales don't change, what a post-tariff auto market looks like

Total cost increase is between 0% and 18%, depending on reliance on imported goods

Tariff Impact % on Vehicle Costs



Tariff impact on costs estimated as foreign part content multiplied by estimated average tariff effect.

Industry impact on costs is 8.5%.

64.9% of auto industry parts are imported.

8.5% assumes 100% pass through. Impact drops to 3.0% at 35% pass through and 6.0% at 70% pass through

[Cox Automotive](#) expects prices to rise 4% to 8% by year end, accelerating as 2026 models hit the market.

Impact by manufacturer varies due to difference in share of parts imported.

Tesla has highest share of US part production (64.8%) and thus the lowest estimated tariff impact.

Toyota (50%) and Honda (45.3%) benefit having a significantly larger share of reliance on US production than even US producers such as Ford (38.0%) and Chevrolet (32.5%)

Notes

Share of domestic goods includes US or Canada per the American Automobile Labeling Act

Labor is assumed to scale at the same rate as post tariff impact in accordance with wage price spiral

Tariff impact on manufacturer ranges from 0% to 17.9%

Estimated increase on total new vehicle costs is 8.5%

Vehicle Sales Rank	Make	Tariff Impact on Total Sales Pre-Offset						Impact of Tariff Offset					
		Average New Car Sale Price \$	Total Vehicle Sales \$m	Average Tariff	Imported Share of Goods	Tariff Impact	Post-Tariff Total Sales \$m	US Assembly Share	Sales on US Assembled Vehicles	Tariff Offset	Sales with Tariff Offset	Post Tariff / Post Offset Impact	Post-Tariff Avg New Car Price
1	Ford	\$ 56,489	\$ 113,200	8.7%	62.0%	5.4%	\$ 119,277	76.6%	\$ 86,700	\$ 3,251	\$ 116,026	2.5%	\$ 59,522
2	Toyota	\$ 41,467	\$ 82,392	10.6%	50.0%	5.3%	\$ 86,754	77.2%	\$ 63,570	\$ 2,384	\$ 84,371	2.4%	\$ 43,662
3	Chevrolet	\$ 46,921	\$ 81,182	9.1%	67.5%	6.1%	\$ 86,158	75.4%	\$ 61,223	\$ 2,296	\$ 83,862	3.3%	\$ 49,797
4	Honda	\$ 37,724	\$ 48,723	11.2%	54.3%	6.1%	\$ 51,684	78.7%	\$ 38,348	\$ 1,438	\$ 50,246	3.1%	\$ 40,016
5	GMC	\$ 66,183	\$ 40,641	8.0%	61.8%	4.9%	\$ 42,649	86.6%	\$ 35,209	\$ 1,258	\$ 41,391	1.8%	\$ 69,453
6	Tesla	\$ 58,212	\$ 36,819	4.3%	35.2%	1.5%	\$ 37,377	100.0%	\$ 36,819	\$ 350	\$ 37,027	0.6%	\$ 59,094
7	Hyundai	\$ 36,754	\$ 30,754	18.6%	82.2%	15.3%	\$ 35,450	48.0%	\$ 14,757	\$ 553	\$ 34,896	13.5%	\$ 42,366
8	Nissan	\$ 34,584	\$ 29,949	11.6%	66.2%	7.7%	\$ 32,247	73.8%	\$ 22,088	\$ 828	\$ 31,418	4.9%	\$ 37,237
9	Jeep	\$ 50,745	\$ 29,824	4.4%	38.6%	1.7%	\$ 30,335	81.0%	\$ 24,156	\$ 324	\$ 30,011	0.6%	\$ 51,614
10	Kia	\$ 37,035	\$ 29,498	15.7%	69.1%	10.8%	\$ 32,698	65.8%	\$ 19,420	\$ 728	\$ 31,970	8.4%	\$ 41,053
11	Ram	\$ 64,932	\$ 28,508	4.5%	45.0%	2.0%	\$ 29,079	100.0%	\$ 28,508	\$ 374	\$ 28,705	0.7%	\$ 66,234
12	Mercedes	\$ 72,345	\$ 27,064	18.6%	98.8%	18.4%	\$ 32,045	12.5%	\$ 3,382	\$ 127	\$ 31,918	17.9%	\$ 85,658
13	BMW	\$ 72,122	\$ 26,782	15.9%	86.4%	13.7%	\$ 30,453	52.7%	\$ 14,107	\$ 529	\$ 29,924	11.7%	\$ 82,006
14	Subaru	\$ 35,187	\$ 23,495	18.2%	80.1%	14.6%	\$ 26,919	36.6%	\$ 8,608	\$ 323	\$ 26,596	13.2%	\$ 40,314
15	Lexus	\$ 60,162	\$ 20,796	13.8%	60.4%	8.4%	\$ 22,533	20.8%	\$ 4,319	\$ 162	\$ 22,371	7.6%	\$ 65,187
Top 15 Industry		\$ 51,391	\$ 649,628	11.5%	63.8%	7.4%	\$ 697,480	71.0%	\$ 461,215	\$ 14,926	\$ 682,554	5.1%	\$ 55,176
Total		\$ 48,651	\$ 776,269	16.6%	64.1%	10.6%	\$ 858,793	64.6%	\$ 501,094	\$ 16,254	\$ 842,539	8.5%	\$ 53,823

Light red rows are US manufacturers

Despite being domestic producers Ford, Chevrolet, and GMC have 60+% of their parts imported.

Hyundai, Mercedes, BMW, and Subaru see largest increase of 11.7% or greater for each manufacturer

The impact is driven by these manufacturers importing 80% or more of their goods.

Mercedes has largest share of imports at 98.8%.

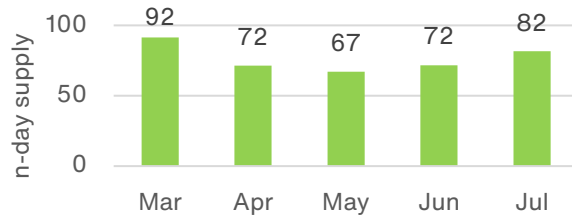
New vehicle supply is up since last month, but down since last year

Toyota and Honda are going to have to act on prices sooner than Volkswagen or Ford

Car prices up 2.2% from June 2024

Automakers continue to hold their fire on raising the manufacturer's suggested retail prices (MSRPs) significantly as demand remains tepid and policy has yet to be solidified.

After tariffs announced, shoppers pulled forward purchases but have now slowed down

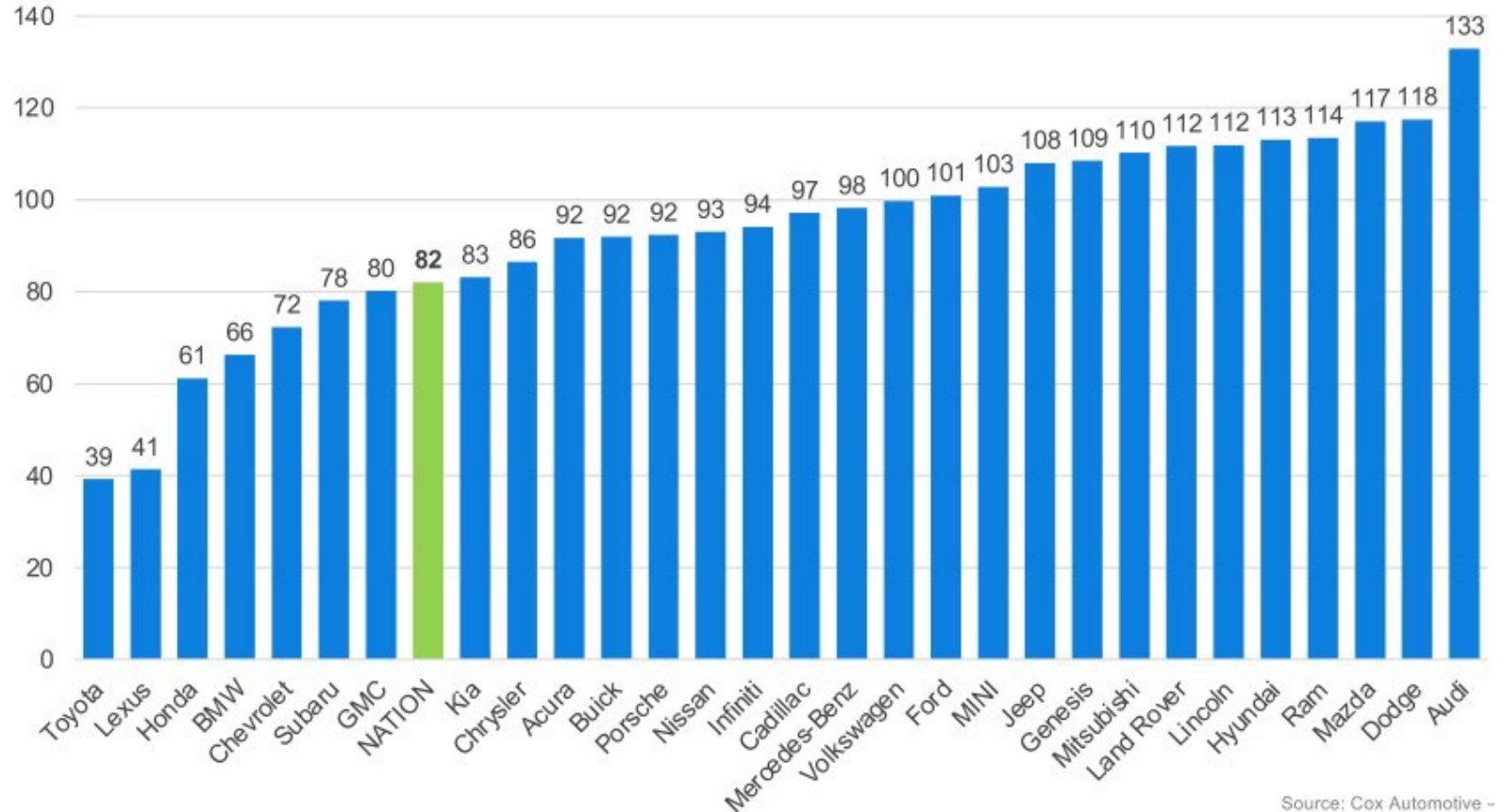


Down 3% compared to 2024

July 2024: 85-day supply

July 2025: 82-day supply

Start of July 2025



Source: Cox Automotive -

Auto industry sales since tariffs announced

Automakers have kept MSRP steady and have started to quantify the hit to earnings

Price protection has been a common approach for now

Manufacturers relied on pre-tariff inventory to offer price guarantees through end of June

Automakers can maintain MSRP while still passing on tariff costs to buyers by eliminating certain incentives, thus raising the effective transaction price.

European car makers are absorbing costs for now, but growing outside the US

Mercedes and Porsche get ~25% of their total sales from the US. Both have offered price protection on 2025 models for now.

Mercedes sales [down](#) 9% global and down 12% in US. Sales increased in Germany 7%, Europe 1%, Rest of World 24%.

Porsche sales [down](#) 6% but up 10% in the US, driven by pre-tariff inventory and price guarantees.

Volkswagen, the world's No. 2 automaker by volume, [reported](#) global sales climbed 1.2% in Q2 but dropped 29% in the US.

[BMW](#): maintains its forecast, touting its US manufacturing presence

2025 Q2 Earnings Reports

[Honda](#): \$862m tariff hit in Q2. Full year estimate is \$3.1b.

Will raise prices & increase production in US to mitigate tariff costs.

[Toyota](#): \$9.5b tariff hit estimated for full year. Chief office in accounts Azuma said that price increases announced in June, with further increases if the market allows. Toyota is working to reduce its reliance on the US market, which makes up 33% of global sales.

[Ford](#): \$800m earnings hit from tariffs for Q2, \$2b estimated for the year

[General Motors](#): \$1.1b earnings hit from tariffs in Q2, and \$4b for the year.

[Stellantis](#): \$351m from tariffs in H1, \$1.7b for the year.

How do differing tariffs impact the decision on where to manufacture?

The answer depends on supply chain sourcing and conversion costs

Trade deals with Japan and South Korea announced with a 15% tariff, including cars & car parts

These countries are heavy exporters of cars and car parts, which would have faced a 25% tariff into the US.

US car manufactures are facing tariffs of 50% for steel & aluminum, 25% for car parts, and +15% for other imported inputs.

Toyota, Honda & Hyundai could pay 5% to 15% more to build in the US than at home, depending on their actual cost structure

These three make up 21% of total US vehicle sales and can potentially produce in local markets for less than in the US.

The example below details how differential tariff rates by commodity and country could have unintended consequences.

Illustrative example: \$40,000 car, pre-tariffs

	Made in US with									Made in Japan or South Korea, Then Imported to US		
	Domestic & Imported Parts											
	Baseline Scenario		Scenario 1			Scenario 2		Scenario 3		Scenario 4		
	Share of Cost	Pre Tariff	Tariff Rate	Share Imported	Post Tariff	Share Imported	Post Tariff	Share Imported	Post Tariff	Tariff Rate	Pre Tariff	Post Tariff
<u>Raw Materials</u>	<u>62.5%</u>											
Steel & Aluminum	33.8%	\$ 13,500	50%	35%	\$ 15,863	50%	\$ 16,875	80%	\$ 18,900		\$ 13,500	
Car Parts	13.3%	\$ 5,308	25%	35%	\$ 5,773	50%	\$ 5,972	80%	\$ 6,370		\$ 5,308	
Other	15.5%	\$ 6,192	15%	35%	\$ 6,517	50%	\$ 6,656	80%	\$ 6,935		\$ 6,192	
<u>Conversion Costs</u>	<u>12.5%</u>											
Labor	8.1%	\$ 3,250			\$ 3,250		\$ 3,250		\$ 3,250		\$ 1,844	
Other	4.4%	\$ 1,750			\$ 1,750		\$ 1,750		\$ 1,750		\$ 1,750	
Sumtotal	75.0%	\$ 30,000			\$ 33,152		\$ 34,503		\$ 37,205	15%	\$ 28,594	\$ 32,883
Change from Baseline					+10.5%		+15.0%		+24.0%			+9.6%

Tesla imports the lowest share of goods at 35%.

Toyota is at 50%, Honda is at 54%, Hyundai is at 82%.

Differential tariffs could put US manufacturing at a disadvantage.

How can personal auto insurers address these concerns?

Physical damage has subtle exposure trend built in via the model year and symbol factors

Homeowners, Commercial Property, GL, and Work Comp have explicit exposure trending built into them.

Property has inflation guard. Each year you can see your insured value increase.

General Liability you see inflation in the sales exposure base year-to-year.

Workers' Compensation has inflation built into payroll.

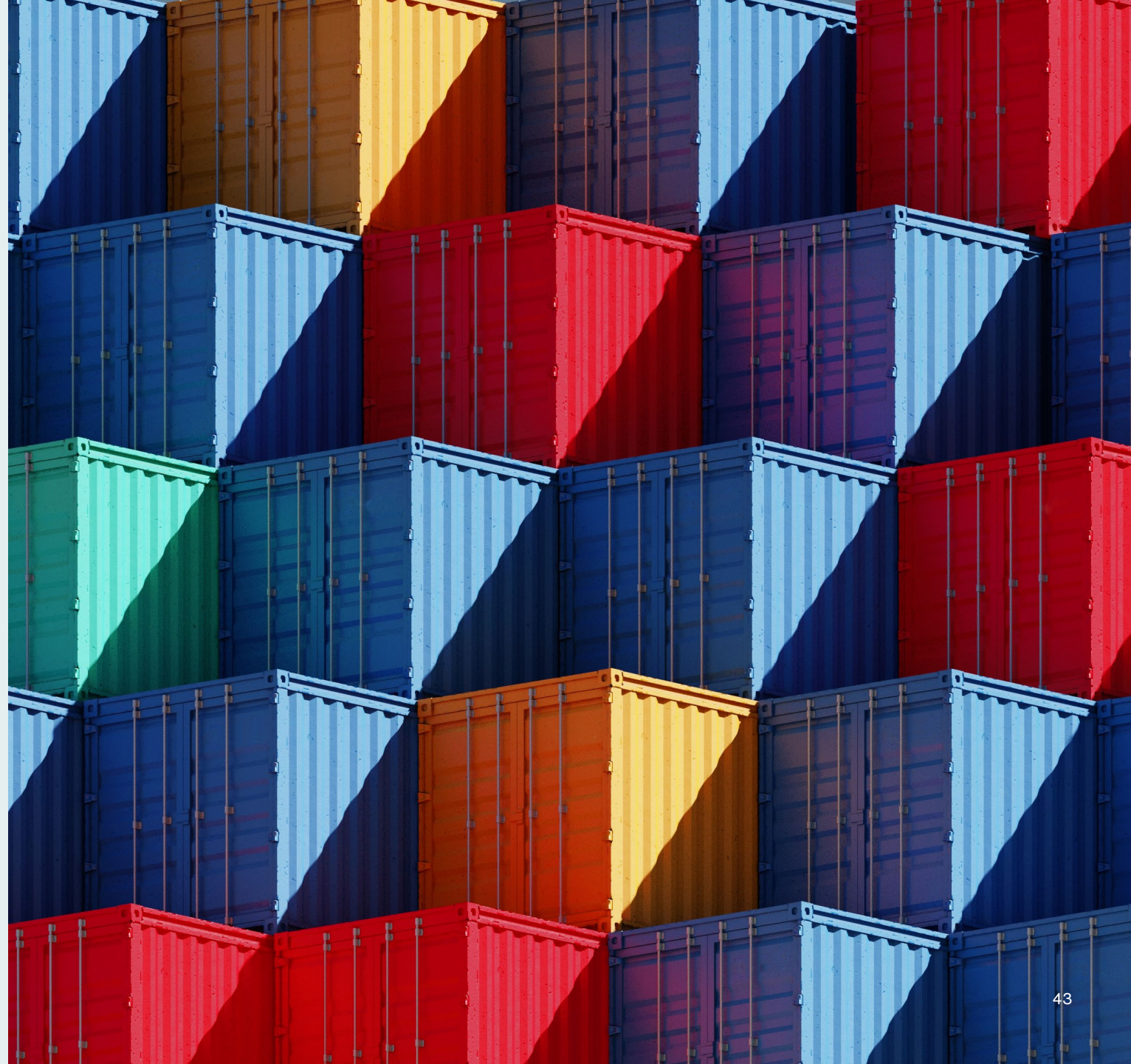
Personal auto is more subtle as the exposure trending happens within their rating algorithm

1. Model Year/Vehicle Age: A policyholder's model year does not change but new models are released, and a new factor is added to the model year rating table. This will be a 4-5% increase, for example, to recognize the rise in costs year-to-year.
2. Symbols: Auto physical damage is rated with what are called "symbols", this factor is meant to address the physical and cost characteristics similarities between vehicles. In practice, if new vehicles are 8% more expensive due to tariffs, they will receive a higher symbol and thus a higher premium.

Exposure trends in personal auto exist and will help mitigate effects of tariffs without filing rate change, specifically on new cars. Strategy will need to vary by state due to some DOIs being more permissive on rating structure and rate changes than others.

6

Next Steps



Key Dates

Presidential Actions and the supply chain

Tariff effective dates, Q1 & Q2

Feb 4: 25% on Canada & Mexico
Feb 4: 20% on China due to Fentanyl
Mar 12: 25% on steel & aluminum
Apr 3: 25% on Cars
Apr 5: Reciprocal at 10%, China 125%,
Exemption for USMCA-compliant goods,
Energy, and Semiconductors
Apr 29: Car tariffs do not stack on top
of steel & aluminum; Car Parts tariff
offset for cars assembled in US
May 3: 25% on Car Parts
May 14: China reciprocal 10%
Jun 3: 50% on steel & aluminum
Jul 31: 35% Canada

Tariff effective dates, Q3

Jul 31: 35% Canada
Aug 1: 50% copper
Aug 7: +15% reciprocal tariffs;
+40% Brazil for political persecution
Aug 27: +25% India for buying
Russian oil

Other key dates

Jul 31: appeal hearing for US CIT ruling
against reciprocal tariffs
Oct 29: End of 90-day pause on Mexico
Nov 9: End of 90-day pause on China
reciprocal tariffs

Manufacturer decision points

Late May to Early June: dealers likely
ran out of pre-tariff inventory or end
price guarantees¹

Early June: retailers likely run out of
pre-tariff, stockpiled inventory²

- Small & medium sized businesses
are more vulnerable than large ones.
- Products with lower profit margins
will be hit first.

(1) [Cox Automotive](#), [Ford](#), [Hyundai](#); (2) [Retailers have 6 to 8 weeks of inventory as of April 24](#)

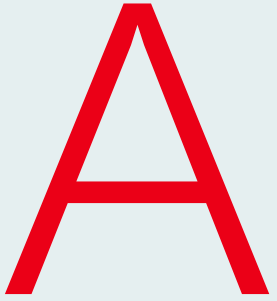
Next Steps

We will continue to monitor this topic for new developments

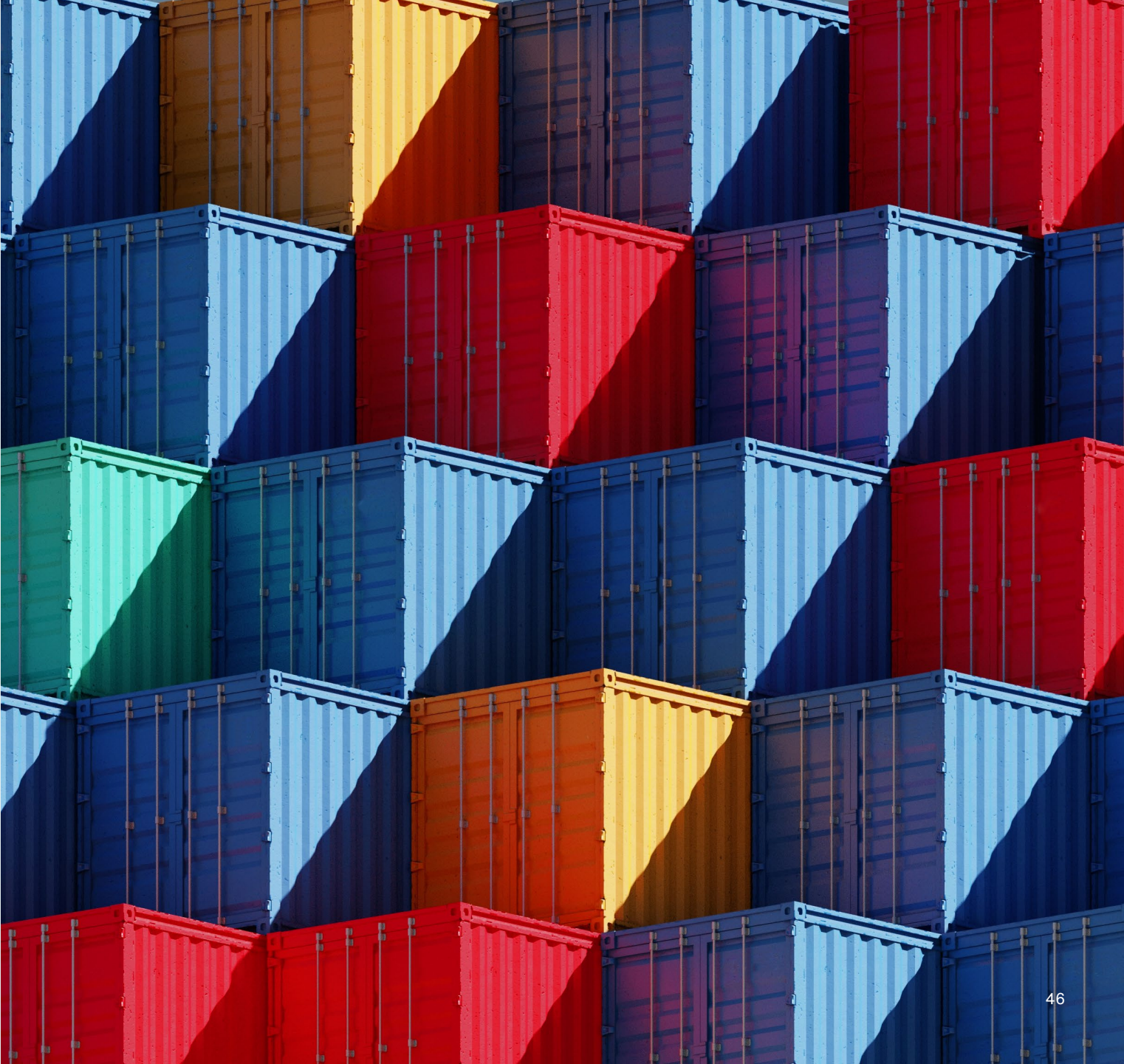
As updates are made available from The White House, we will refresh our analysis

Connect with clients

Start a dialogue to see how you are planning for this impact



Public Reactions Through Q1 Earnings Season



Car manufacturers are taking a wait-and-see approach

Manufacturer Price unchanged while current inventory is available

Imported cars held at port, 4/10

Thousands of newly-imported vehicles are being held at ports across the United States, while many brands have paused shipments to the US entirely.

Companies such as Aston Martin, Audi, and Jaguar Land Rover have temporarily suspended shipping to the US in the hope their current inventories will last until long-term resolutions are reached.

Some carmakers are rerouting imports to bonded warehouses to delay tariff payments.

[Automakers Freeze Imports As Thousands Of Cars Suddenly Stuck At US Ports | Carscoops](#)

Ford internal memo to dealers, 4/17

MSRP flat for any vehicle currently in inventory.

Cars produced in May won't hit dealer lots until June or later.

"In the absence of material changes to the tariff policy as articulated to date, we anticipate the need to make vehicle pricing adjustments in the future, which is expected to happen with May production." Andrew Frick, president of retail sales

"The tariff situation is dynamic and we continue to evaluate the potential impact of tariff actions." - Ford

[Tariffs could prompt Ford price increases in May, dealers told - Automotive News](#)

Hyundai full page ad in the WSJ, 4/19

MSRP held flat until June 2nd, or 45 days

Dealers have 94 days of supply ([link](#))

No impact to consumers or investors

Fine print states that dealers set prices



May 30 update: Hyundai denied rumors reported by [Bloomberg](#) that they were considering price increases, [saying](#) "We have not made any decision regarding price changes after the current price guarantee period ends."

Retailer price & availability will shift when pre-tariff inventory runs out

Strategies to retain customers in a time of uncertain trade policies

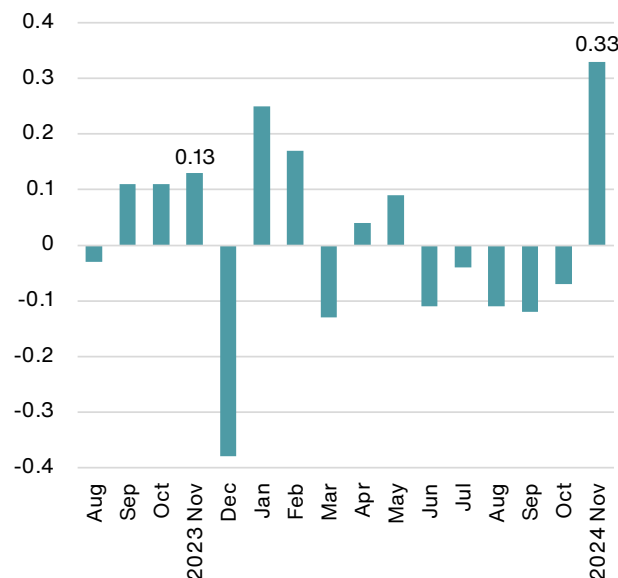
Increased inventory before tariffs

2024 Q4: US manufacturers stockpiled parts and raw materials¹

2025 Q1: Retailers like Costco, Target, Walmart pull forward orders²

Manufacturing Demand

Monthly demand by North American manufacturers for raw materials and components



Lobby for exemptions

Cook convinced Trump to exempt tech from 125% Reciprocal Tariff

No pass through to consumers, for now

Full pass through to investors of 20% Fentanyl Tariff

TOP EXCLUSIVE

How Tim Cook helped Apple out of Trump's tariff storm — for now

Administration officials insist that no companies received special exemptions. Trump said he "helped Tim Cook recently."

April 17, 2025

9 min 227



Direct appeal to The White House

Apr 21: CEOs from Walmart and Target met with President Trump to privately warn him that his sweeping tariff policy could disrupt supply chains and lead to empty shelves in the coming weeks³.

Statements shortly after the election:

- "We never want to raise prices," but "there probably will be cases where prices will go up for consumers." Walmart CFO John David Rainey
- In March, Target CEO Brian Cornell said, "the consumer will likely see price increases over the next couple of days" from tariffs planned on imports from Mexico, noting Target heavily relies on Mexican produce to stock its grocery shelves in the winter."

How much of a tariff would be passed onto the consumer?

Companies have a mixed approach to pass, absorb, or share the tariff

Pass through tariffs to consumers

Walmart: May 15, CEO [said](#), "Given the magnitude of the tariffs, even at the reduced levels announced this week, we aren't able to absorb all the pressure given the reality of narrow retail margins." CFO expects consumers to start seeing tariff-related price hikes later this month and "much more" in June.

Ford: May 7, [Raised prices](#) on some imports by \$600 to \$2,000, for cars arriving in late June. Spokesperson said have not passed on the full cost of tariffs to consumers.

Adidas: Apr 30, "Higher tariffs will eventually cause higher costs for all our products for the US market." [Link](#)

Proctor & Gamble: Apr 24, CFO Andre Schulten [said](#) that prices may start going up in July.

Best Buy: 2024 Q4, CEO Corie Barry [said](#), "China and Mexico remain the No.1 and No. 2 sources for products we sell, respectively. We expect our vendors...will pass along some level of tariff costs to retailers, making price increases for American consumers highly likely."

Autozone: 2024 Q4, CEO Philip Daniele [said](#), "If we get tariffs, we will pass those tariff costs back to the consumer."

Pass through tariffs to investors

Home Depot: May 20, "We intend to generally maintain our current pricing levels across our portfolio," Chief Financial Officer Richard McPhail. Some products may be unavailable. [url](#)

Honda: May 13, Tariffs will reduce net profit \$4.4b. Primarily due to vehicles imported from Canada & Mexico. [Link](#)

Ford: May 5, Without tariffs, Ford said it was tracking toward \$7b to \$8.5b of earnings before interest & tax, EBT. They expect \$2.5b impact from tariffs, or about one-third of EBIT. Ford expects to offset \$1b of those tariff costs through remediation actions, as well as volume and pricing expectations. [Link](#)

GM: May 1, Tariffs on parts will cost \$4b-\$5b, with plans to offset 30% by budget tightening & reshoring. Won't raise prices for now; will monitor the market. [Link](#)

Nintendo: Apr 18, Console price unchanged, but accessories are repriced 10% higher. [Link](#)

Target: Mar 4, trying to [renegotiate](#) suppliers. CEO Brian Cornell will raise prices on some items, while keep others flat. [Link](#)

The President has rebuked Amazon & Walmart for planning increases

Home Depot is taking a different approach and dropping some tariff-impacted goods

Apr 29: The President has urged Amazon not to list tariffs next to prices

It was reported that Amazon was considering displaying the share of a product's cost that was associated with tariffs. After President Trump called Jeff Bezos, Amazon clarified they were only exploring this for Amazon Haul and did not approve it.

"I just got off the phone with the president about the Amazon announcement. This is a hostile and political act by Amazon," White House Press Secretary Karoline Leavitt said at an April 29 morning briefing with reporters.

After reading about Amazon's reported plans, Trump called Bezos on the morning of April 29 to complain about the move, a senior White House official confirmed to USA TODAY. [Link](#)

May 15: Walmart announced price increases and The President responded on Truth social

Walmart CEO [said](#), "Given the magnitude of the tariffs, even at the reduced levels announced this week, we aren't able to absorb all the pressure given the reality of narrow retail margins." CFO expects consumers to start seeing tariff-related price hikes later this month and "much more" in June.

May 17, The President [posted](#), *Between Walmart and China they should, as is said, "EAT THE TARIFFS," and not charge valued customers ANYTHING. I'll be watching, and so will your customers!!!"*

May 17, Walmart [responded](#) "We have always worked to keep our prices as low as possible and we won't stop...We'll keep prices as low as we can for as long as we can given the reality of small retail margins."

May 20: Home Depot to keep prices steady, but tariffs may make some items unavailable

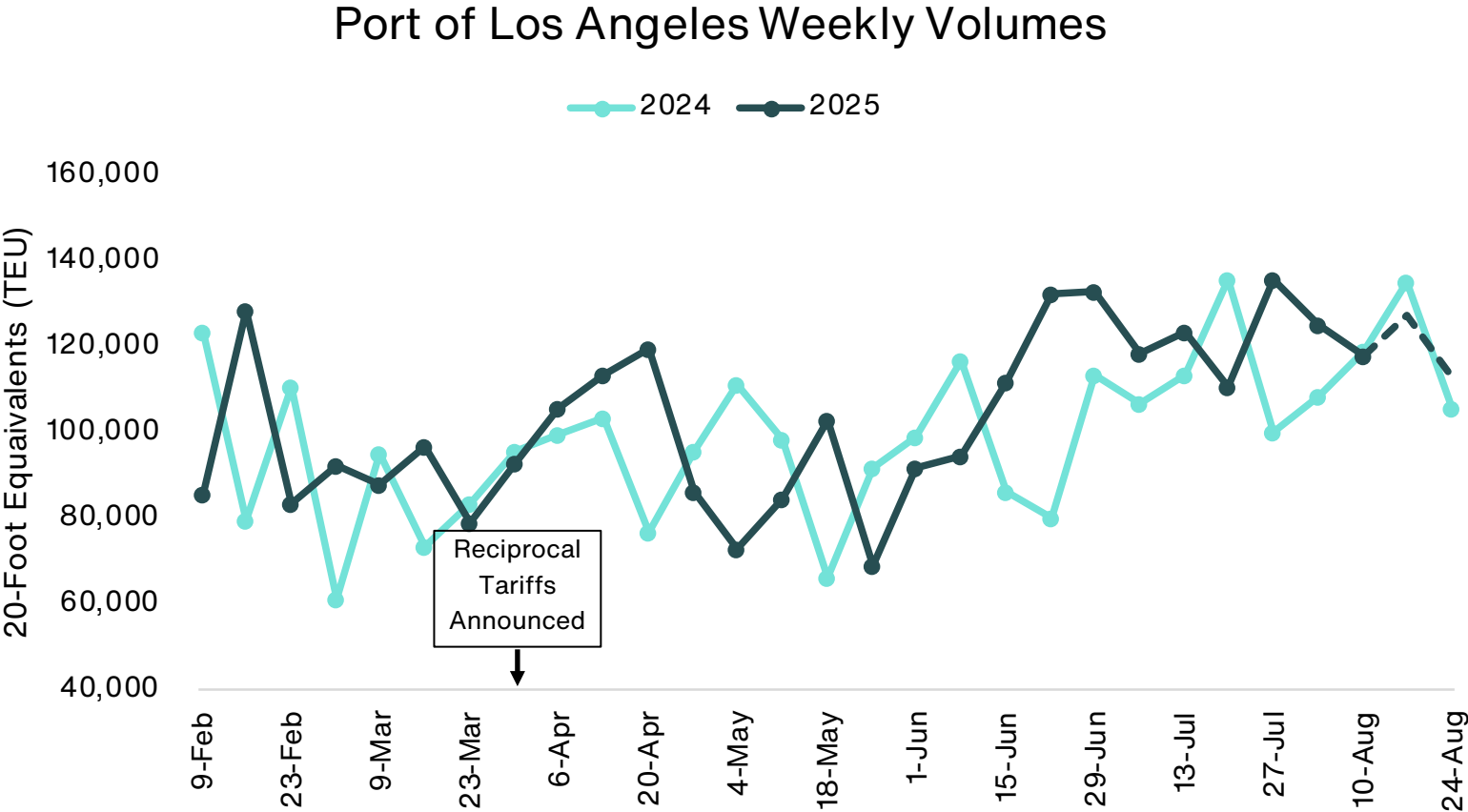
Billy Bastek, executive vice president of merchandising, said the company intends "to maintain pricing across our portfolio."

"There's items that we have that could potentially be impacted from a tariff that, candidly, we won't have going forward if it doesn't make sense inside the line structure," Bastek said.

Home Depot is less exposed to China than Walmart. It sources less than half of its goods outside North America, and has cut its exposure to China in recent years. CEO Ted Decker told investors that within the next 12 months, no single country outside the U.S. will represent more than 10% of its purchases. [Link](#)

Monthly port activity is higher on average, but with more volatility

China made up ~40% of imports to the Port of Los Angeles in 2024



Source: Port of Los Angeles, Wabtec Corporation, Aug 12, 2025

It takes about 3 weeks for a ship to arrive from China

If orders were canceled after April 2 Reciprocal tariffs, change in port activity would be seen in week of April 27

2025 vs 2024 Import Volume

Feb9 - Apr20: +8.4%

Apr27 - Aug17: +3.5%

Since April 27, the coefficient of variation of shipments are 13% higher this year compared to last year.

Source 1: [Traffic at the Port of Los Angeles already dropping amid tariffs - Los Angeles Times](#)

Source 2: [China Tariff Rollback Unlikely to Boost Imports, Port of L.A. Chief Says - WSJ](#)

Rare earth magnet shortage threatens shutdown of U.S. car factories

China controls over 60% of global rare earth commodities and 90% of processing

April 4: China added new export controls on rare earth materials, in response to US Reciprocal Tariffs

The Chinese government halted global exports and added a new licensing and approval system.

Previously, only the importer needed to be approved. Now, each individual shipment needs to be reviewed and approved.

How are these materials used in auto manufacturing?

“Automatic transmissions, throttle bodies, alternators, various motors, sensors, seat belts, speakers, lights, power steering, and cameras as among the many components affected by a rare earth magnet supply shortage”.

These magnets are also used in the production of fighter jets and home appliances, Reuters [reports](#).

May 9: Automaker advocacy groups [sent](#) letter to the President raising concerns about production volumes and shutdowns

The Alliance for Automobile Innovation, a trade group representing Volkswagen, Hyundai, General Motors and others, along with The Vehicle Suppliers Association cited reduced volume & assembly line shutdowns as a severe outcome of the scarcity.

May 30: US trade representative Jamieson Greer [said](#) that American officials: “haven’t seen the flow of some of those critical minerals, like [China] is supposed to be doing,” according to the New York Times.

China’s embassy in Washington responded, saying the United States was abusing export controls of semiconductors.

Its not just a US issue: India also hasn’t received the licenses, putting the country on pace to pause auto production in early June. Europe has received some license approvals, but its Union Chamber of Commerce in China, Jens Eskelund, said the amount is insufficient.

1st Quarter 2025 P&C Earnings Call Themes: Executive Summary



Tariffs Expected to Impact Underwriting and Investments, Overall Industry Effect predicted to be Manageable

- Tariffs expected to affect UW performance through increased loss costs, as well as impact investment portfolios from unrealized losses and spikes in volatility
- Auto and property lines are expected to be most impacted, driven by rising physical damage repair costs



Favorable Prior Year Development and Competitive Pressure Driving Decreased Rate in Workers' Compensation

- Insurers across the board are continuing to see reserve releases, though the rate and number of releases has been slowing in recent quarters
- Many insurers trying to expand further into Workers' Comp, with desires to grow top-line premium, leading to a strong competitive landscape and downward pressure on rate



Social Inflation Continues to Persist in Long-tail Casualty Lines

- Carriers continue to be plagued by social inflation in liability lines from prior accident years resulting in reserve charges
- Many carriers say the trend is continuing as expected, with defense strategies becoming progressively more sophisticated



California Wildfire Impacts Significant but Manageable, Carriers Compare Impact to other Large Cat Years Like 2017 & 2022

- Some carriers faced pressure on combined ratios and have seen challenges in high-value homeowner claims
- Other insurers have become more cautious around capital management because of the fires, dialing back share repurchases in the first quarter

Tariffs Expected to Impact Underwriting and Investments, Overall Industry Impact Predicted to be Manageable



CHUBB®

"There is currently a great deal of uncertainty and confusion surrounding our government's approach to trade. *Its impacting business and consumer confidence, as well as our image abroad. The odds of recession have risen substantially, and higher inflation is all but certain.* To what degree, is an open question. We have competing priorities between our stated trade, economic and fiscal objectives and coherence policy is yet to emerge. I hope we can reach agreements on trade, reduce or eliminate tariffs and reconcile our priorities quickly."

"*Tariffs and the federal budget deficit impact interest rates, yield curves, spreads, asset values and the dollar in ways that are not good for our country.* As a company, we are predominantly buy and hold fixed income investors and benefit from higher yields. And as a multinational, our revenue and income benefit from a weaker dollar."



TRAVELERS

"I'd say, *as far as the direct impacts go, we think it's pretty manageable for us.* So, it's just a fraction of Auto and Property losses that are physical damage related, and only a fraction of those are for materials that would be impacted by the tariffs. *The most significant impact for us is likely to be a one-time impact of physical damage repair costs...* assuming the tariffs as they've been announced remain in place and are largely passed through, and I think there's a question about that, we'd expect somewhere around a mid-single digit increase to PI Auto severity."



AXIS

"With respect to tariffs in particular, we anticipate *that the most immediate impact could be on loss costs.* Additionally, should the current uncertainty surrounding tariffs persist, we would expect an impact on growth in certain of our lines of business. Nonetheless, we have confidence in our ability to address these factors while leveraging the diversification within our portfolio... I think we have a very prudent approach in how we're accounting for tariffs. We certainly don't have a crystal ball on the outcome. It remains highly fluid but our organization is agile and being responsive to a number of scenarios, including the potential impact of loss cost in our company."



THE
HARTFORD

"The tariffs probably will affect the price of automobiles, parts, building materials and supplies. And if you think about it and others have commented upon it, *that should be a onetime event. That's sort of step change and then a normal trend would hopefully continue from there...* we can react in due course once we know what's going to happen. And obviously, some of the data and the inflationary pressures start to show up in our data that the regulators expect to see. I think, overall, we're well-positioned to navigate. *This isn't anything terribly new as far as monitoring loss cost trends. But it is an emerging policy tariff environment. So, it is somewhat unique in that respect.*"



SELECTIVE

"Depending on the ultimate outcome and timing of tariffs, economic uncertainty and financial market volatility, *there's heightened risk that alternative investment income could come under pressure* when we report second quarter earnings... First of all, it's early and understanding where tariffs ultimately settle is very much an open question at this point... But I would say, overall, *when you factor in the various mitigants, it is a manageable impact from a loss cost perspective. So, the primary impacts obviously are auto physical damage lines, both personal and commercial, and then property at home.*"

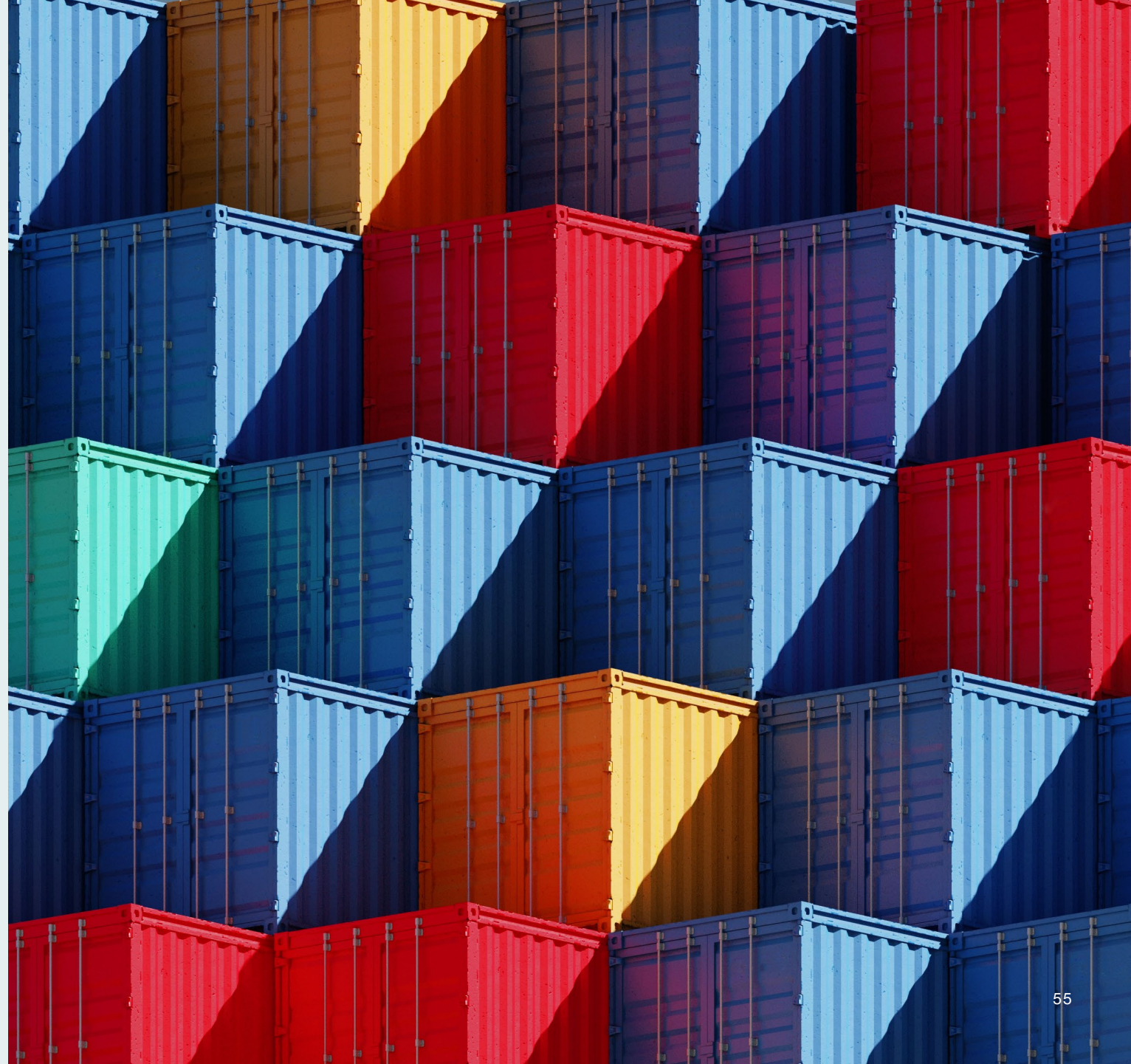


AON

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Interim Developments - July

AON



Reciprocal tariffs delayed again to August 1

Tariff rates unchanged as of June 3rd, but many alternative rates considered

Country-specific tariff rates were due to take effect on July 9th, instead they were delayed until August 1st [The White House](#)

The US failed to reach trade agreements with all but the UK, so the administration is instead sending out letters

July 3: There was a [Reuters](#) story about a 20% tariff deal with Vietnam, but nothing has been posted by The White House.

July 7: [Letters were sent](#) to Japan, Korea, & 12 other countries warning them of tariff rates that would take effect on August 1.

July 9: 50% tariff on copper. [CNN](#)

July 9: Tariff letter to Brazil of 50%, despite a trade surplus. While all other letters have the same template & cite reciprocity as the reason for the tariff, this letter cites a witch hunt and trial of former Brazilian President Jair Bolsonaro. [AP News](#)

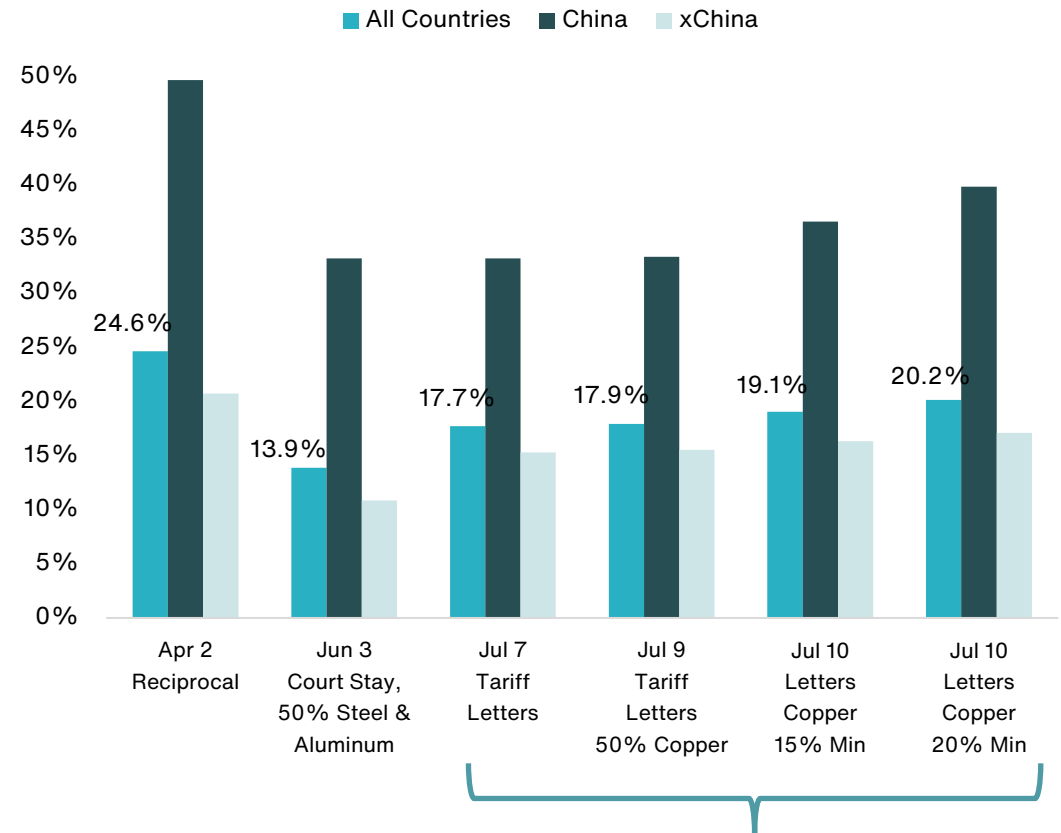
July 10: Additional letters, Trump discusses raising the blanket tariff rate to 15% or 20%; and 35% for Canada. [NBC News](#)

July 12: 30% tariff on the EU and Mexico. [Reuters](#)

Commodity specific tariffs have been threatened [Reuters](#)

Copper (50%), pharmaceuticals (200%), movies (100%), semiconductors (>25%), timber & lumber, critical minerals.

Average Tariff with Exemptions



Threatened to take effect on August 1

China agrees to a deal on June 27 to resume exporting rare earth

A shortage of rare earth magnets had threatened shutdown of US car factories

What was the problem?

On April 4, China added new export controls on rare earth materials for all countries, in response to US reciprocal tariffs.

China controls over 60% of global rare earth commodities and 90% of processing.

These materials are crucial for many parts in auto manufacturing, as well as the production of fighter jets and home appliances.

On May 9, automaker advocacy groups sent letter to the President raising concerns about production volumes and shutdowns.

What was the solution?

In May, the two countries had agreed to de-escalate their tit-for-tat tariffs. However, China had yet to lift export restrictions.

The US retaliated with export curbs on chips software, ethane and jet engines, while threatening to revoke the US visas of Chinese students.

The two countries returned to the negotiating table in June and announced a deal to ease export restrictions, pending approval from both nations' leaders.

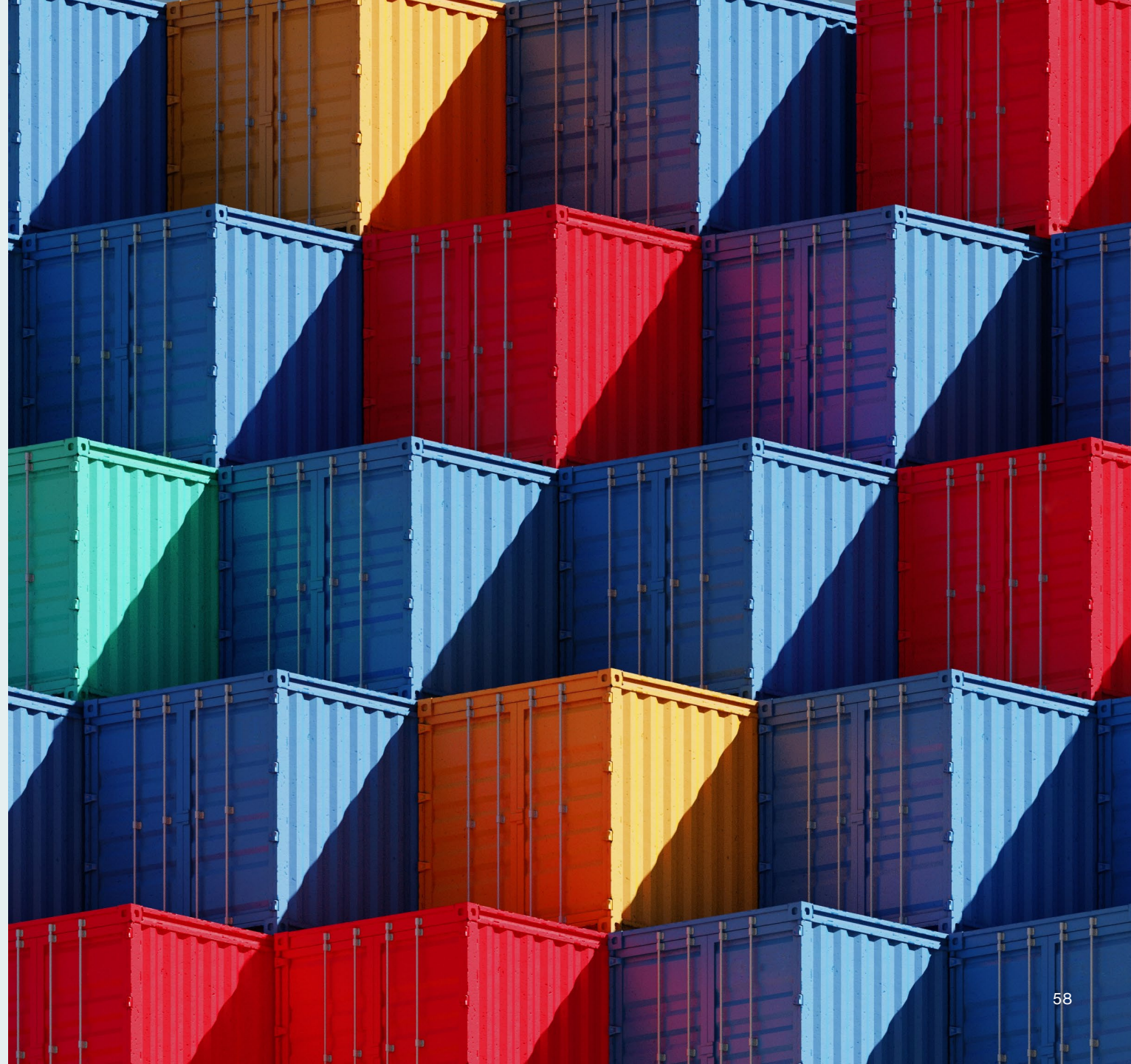
How are exports coming along?

While China has reportedly been speeding up their approval process, many companies are still struggling to secure supplies.

Analysts also expect China's dual use export restrictions still prohibit shipments to military suppliers, leaving US defense contractors without access to such materials.



Presidential Actions on Tariffs – 2025 Q1 & Q2



Presidential Actions applied tariffs to Canada & Mexico

25% Autos, 0% energy, 0% USMCA compliant, 25% non-USMCA compliant, 10% All Other

Canada

Executive Order 14193 of Feb 1

25% on all goods

10% on energy

Tariffs take effect on Feb 4, 2025

Executive Order 14197 of Feb 3

Tariffs paused until March 4, 2025

Executive Order 14231 of Mar 2

Potash is now 10% instead of 25%

Mexico

Executive Order 14194 of Feb 1

25% on all goods

Tariffs take effect on Feb 4, 2025

Executive Order 14198 of Feb 3

Tariffs paused until March 4, 2025

Executive Order 14227 of Mar 2

Adds a provision for duty-free de minimum treatment

Canada & Mexico

Proclamation 10908 on Mar 26

25% on cars

0% for USMCA-compliant parts

Tariffs take effect on Apr 3, 2025

Executive Order 14257 of Apr 2

0% on USMCA-compliant goods

25% on non-USMCA-compliant goods

10% on non-USMCA-compliant energy and potash

Section 232 Tariffs on Steel & Aluminum

Expansion of the initial tariffs from 2018

Mar 2018: Initial Tariffs

Proclamations 9704, 9705, 9980

25% for steel

10% for aluminum

US International Trade Commission

A 2023 study found these tariffs

- Decreased the demand for imports of steel & aluminum
- Increased domestic demand & production
- Resulted in higher overall prices
- Saw a full pass through of the tariffs to US importers

[USITC Press release](#)

Feb 2025: Adjustments to Tariffs

Proclamations 10895, 10896

Steel unchanged

Aluminum now 25%

Expanded list of commodities subject to tariff

Removed country-specific exemptions for Argentina, Australia, Brazil, Canada, European Union, Japan, Mexico, South Korea, Ukraine, United Kingdom

President issued Executive Order for tariffs on April 2, 2025

Ad valorem duty of at least 10%; Country-specific rates paused until August 1

Regulating Imports with a Reciprocal Tariff to Rectify Trade Practices that Contribute to Large and Persistent Annual United States Goods Trade Deficits – The White House

Section 1. National Emergency. The President declares a national emergency arising from conditions reflected in annual U.S. goods trade deficits. Reciprocal tariffs are designed to correct this.

Sec. 2. Reciprocal Tariff Policy. It is the policy of the United States to rebalance global trade flows by imposing an additional ad valorem duty on all imports from all trading partners except as otherwise provided herein. The additional ad valorem duty on all imports from all trading partners shall start at 10 percent and shortly thereafter, the additional ad valorem duty shall increase for trading partners enumerated in Annex I to this order at the rates set forth in Annex I to this order. These additional ad valorem duties shall apply until such time as [the President] determine[s] that the underlying conditions described above are satisfied, resolved, or mitigated.

Sec 3. Implementation. (a) The 10% duty goes into effect on April 5th, 2025, country-specific rates on April 9, 2025.

(b) Goods that are not subject to the ad valorem rates are listed in Annex II.

(d) Canada and Mexico are not subject to this order

Additional Executive Orders and Proclamations were released between April 2 and April 11, with China reset on May 12

April 8: China was set to 84% ([Link](#)). April 9: reciprocal tariffs reset to 10%, Autos are still 25%, Energy is still 0%, China was set to 125% total ([Link](#)). April 11: exemption from reciprocal tariffs for smartphones & tech ([Link](#)).

May 12: China reset to 10% ([Link](#))

Preliminary deals announced by the White House: UK & China

China baseline tariff decreases from 145% to 30%; All other tariffs remain in place

May 8th: United Kingdom preliminary deal

Global average tariff decreases 0.03% points

[Fact Sheet: U.S.-UK Reach Historic Trade Deal – The White House](#)

Reciprocal tariff of 10% remains effective

Tariff on cars revised down from 25% to 10% for first 100,000 cars, 25% after. In 2024, US imported 101,000 cars from UK.

Tariffs on Steel & Aluminum are to be revisited.

Expands US market access to the UK for agricultural exports.

Details to be finalized at a later date, no new Presidential Actions have been published.

May 12th: China reciprocal reset

Global average tariff decreases 10% points

[Modifying Reciprocal Tariff Rates to Reflect Discussions with the People's Republic of China – The White House](#)

Reciprocal tariff of 125% is paused and revised down to 10% for the next 90 days, effective May 14.

Other tariffs remain in place, including 20% Fentanyl, 25% Cars, and 25% Steel & Aluminum.

Reciprocal tariffs derived from the U.S. trade deficit by country

Formula and assumptions provided by Office of the United States Trade Representative

$$\Delta\tau_i = \frac{x_i - m_i}{\epsilon * \varphi * m_i}$$

$\Delta\tau_i$ is change in tariff rate for country i

x_i is total exports to U.S. from country i

m_i is total imports to U.S. from country i

ϵ is price elasticity of import demand; assumed to be 4

φ is elasticity of import prices with respect to tariffs; assumed to be 0.25

$$\Delta\tau_i = \frac{\text{Exports} - \text{Imports}}{1 * \text{Imports}} = \frac{\text{Trade Deficit}}{\text{Imports}}$$

Key Considerations

- The direct accounting for the trade deficit in the reciprocal tariff formula recognizes non-tariff trade barriers that are common in global trade
- The White House has decided to charge half this amount as the reciprocal tariff for a given country
- Countries that have a trade surplus or a trade deficit below 20% are being charged 10% as a minimum, as of April 2
- US Treasury Secretary, Scott Bessent said tariff rates will return to these 'reciprocal' levels if countries don't reach trade deals with US. [Link](#)

Presidential Action to avoid stacking of some tariffs

April 29 Executive Order 14289 is very impactful for auto manufacturers

Addressing Certain Tariffs on Imported Articles – The White House

Presidential Actions on tariffs state that they are “in addition to any other duties, fees, exactions, and charges.”

Some commodities are covered by multiple actions and would therefore receive multiple tariffs stacked on top of each other.

- An imported aluminum car door would have faced a 50% tariff, 25% Aluminum + 25% Car Parts. Now its only 25%.

The new Executive Order covers the following tariffs in order of priority:

- a) Cars and Car Parts, Proclamation 10908
 - i. Cars & Car Parts are not subject to Canada & Mexico good-specific tariffs or Steel/Aluminum tariffs listed below
- b) Specific goods from Canada, Executive Orders 14193, 14197, 14226, 14231
- c) Specific goods from Mexico, Executive Orders 14194, 14198, 14227, 14232
 - ii. Goods subject to specific tariffs on Canada & Mexico are not subject to Steel & Aluminum tariffs
- d) Aluminum, Proclamations 9704, 9980, 10895
 - iii. Goods subject to aluminum tariffs are not subject to steel tariffs
- e) Steel, Proclamations 9705, 9980, 10896

Tariffs listed in this Executive Order can still stack with tariffs not listed here, such as reciprocal or fentanyl tariffs – Sec. 3 (c)

Presidential Action to alleviate tariffs on imported car parts

Proclamation 10925 may reduce car part tariff impact by ~24% in year 1, less in year 2

[Amendments to Adjusting Imports of Automobiles and Automobile Parts Into the United States – The White House](#)

Tariffs on car parts will now have an offset credit based on total value of cars assembled in the US

Tariff offset on imported parts up to 15% of the 25% tariff in US in Year 1. Up to a 10% credit in Year 2. None after that.

Year 1 Max Offset = 3.75% of aggregate MSRP from all cars assembled in the US

April 3, 2025 to April 30, 2026; 3.75% offset = 25% Tariff * 15%

Year 2 Max Offset = 2.5% of aggregate MSRP from all cars assembled in the US

May 1, 2026 to April 30, 2027; 2.5% offset = 25% Tariff * 10%

Only offsets tariffs from Proclamation 10908 (cars & car parts), capped the total amount of tariffs paid under that Proclamation

Import content and final assembly country sourced from data required by the American Automobile Labeling Act

For each model assembled in US, we scale it by the sales volume for that car and average transaction price to get total MSRP

Industry Aggregate MSRP * 65% US Assembly * 3.75% Offset = 2.4% point reduction in the effective tariff on new cars

This creates a carrying cost for auto manufacturers who must pay tariffs in the meantime, then apply for an offset a year later.

June 3: Tariffs on Steel & Aluminum doubled to 50%

Proclamation 10947

President Trump first announced the idea at a rally in Pennsylvania on Friday May 29

[Trump says he plans to double steel, aluminum tariffs to 50% | Reuters](#)

New information and other things led to the increase

After considering current information newly provided by the Secretary, among other things, [The President has] determined that it is necessary to increase the previously described steel and aluminum tariffs to adjust the imports of steel and aluminum articles and their derivative articles so that such imports will not threaten to impair the national security.

The previous rate of 25% was deemed to be insufficient to boost domestic production.

[Adjusting Imports of Aluminum and Steel into the United States – The White House](#)

The higher rate goes into effect June 4

There is a provision for the United Kingdom, which keeps their rate at 25%.

This increase in tariffs could hinder the administration's ongoing negotiations surrounding the reciprocal tariffs.

How we are calculating the weighted average tariff

As of May 28

Tariffs applied to all countries

1) 25% on cars and auto parts

- i. HTS codes detailed by the Federal Register on April 3, in accordance with the Presidential Proclamation on March 26
- ii. Net of Car Part Tariff Offset from Proclamation on April 29

2) 25% on steel & aluminum

- i. Adjustments made to avoid stacking per Executive Order on April 29

3) 10% reciprocal tariff on all other goods, with the following exemptions:

- i. Cars and car parts listed above
- ii. 1,039 commodities listed in Annex III of Executive Order 14257 on April 2nd, which includes energy
- iii. 54 commodities listed in the Presidential Memorandum on April 11. Definition of “semiconductor” expanded to include smartphones, computers, solar cells, flat panel TV displays, flash drives, memory cards & solid-state drives.

Tariffs applied to specific countries

4) China: 10% Reciprocal on non-exempt goods + 20% Fentanyl on all goods

5) Canada & Mexico

- i. 0% on USMCA-compliant goods
- ii. 10% on non-USMCA-compliant energy and potash
- iii. 25% on non-USMCA-compliant goods

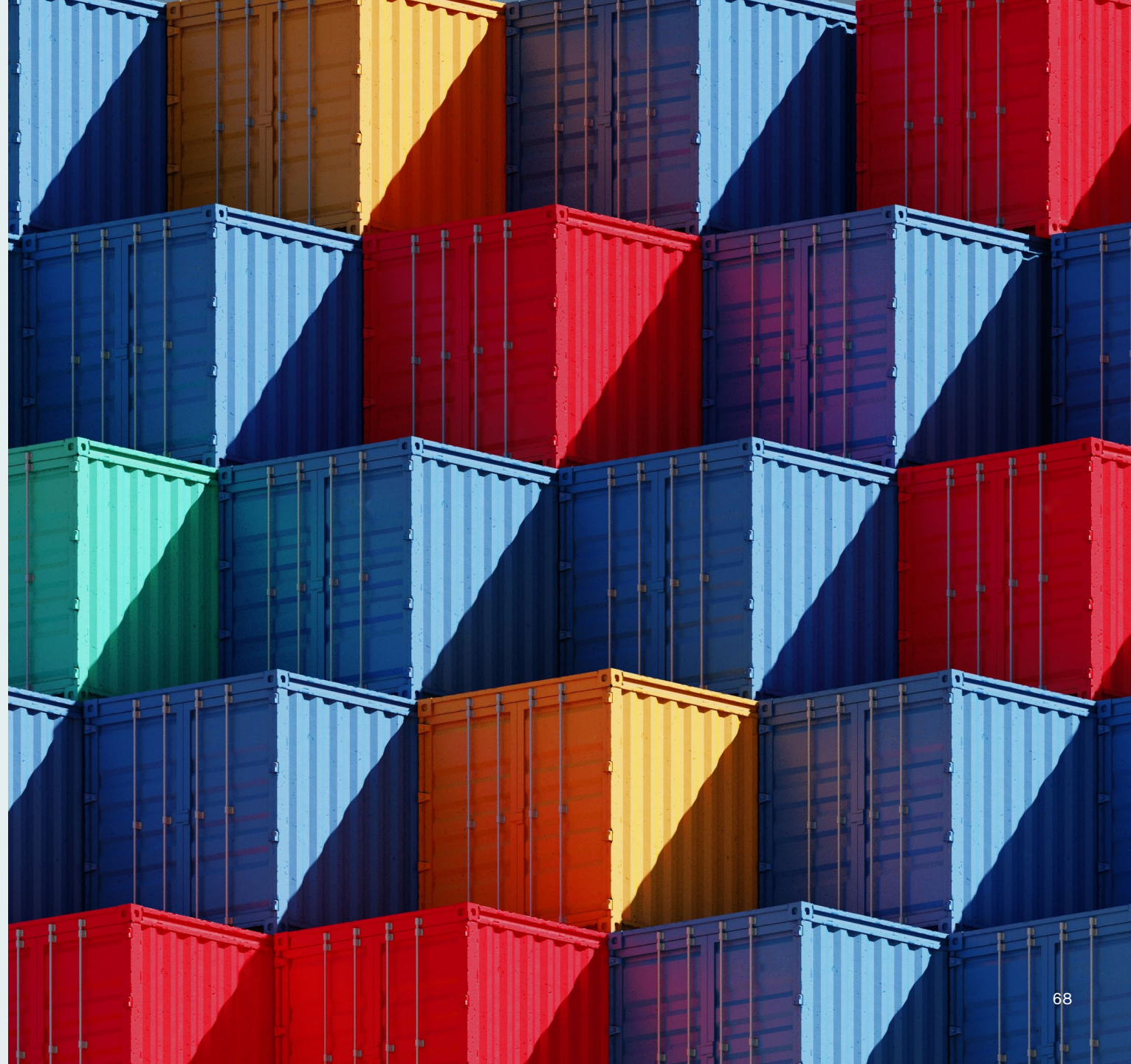
Tariffs are then applied to the 2024 import value for each of the 10-digit commodity codes

Weighted average tariff is the sum of 2024 imports post-tariff divided by sum of 2024 imports pre-tariff

Unlawful
if federal
court
ruling
stands

D

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